

The Architecture
of
Debt-Money and Interest

A Qur'ānic Diagnosis



Azfar Samin

The Architecture of Debt-Money and Interest
Open-Access Digital Edition (Paperback Format)

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A cataloguing record for this book is available from Library and Archives Canada.

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Published by

CCC Framework Publishing

Toronto, Ontario, Canada

ISBN (Paperback): 978-1-0674622-0-8

ISBN (Hardcover): 978-1-0674622-3-9

This book is intended for educational and informational purposes. Readers are encouraged to reflect critically and verify ideas independently.

To Truth
It lives not in parts
but in the whole.

Preface

This book has been written from the premise that truth is alignment with what constrains us, not what benefits us. This distinction marks the dividing line between a truth-tracking belief system and systems that merely optimize for short-term outcomes. A belief may be useful, adaptive, or advantageous, yet still be false. Truth, by contrast, refers to whether cognition aligns with reality as it is—an external order that resists manipulation, persists independently of belief, and imposes consequences when misjudged.

When our epistemic, psychological and moral calibration is anchored to truth, cognition corrects itself through error, contradiction, and consequence. When calibration is severed from truth, it does not disappear; it relocates, reattaching to the 'polite' shadows that offer the path of least resistance. Eventually, any epistemology that cannot account for this distinction between truth and pragmatism succumbs to tyrannical power. This realization motivates the need to write a book on the subject of debt-based monetary systems and *ribā*—understood in this work to encompass any positive interest rate, however small.

This book argues that *ribā* is not merely a moral prohibition on exploitative lending, but a structural indictment of debt-based monetary systems whose internal mechanics necessarily produce injustice, instability, and unearned extraction. This work proceeds from the assumption that *ribā* is not a localized pathology but is built into the architecture of the modern economic system, which survives only by continually deferring collapse.

A topic is epistemologically grounded when it answers all four of these questions together:

1. **Textual** – What is claimed?
2. **Conceptual** – What does it mean?
3. **Structural / Mechanistic** – How does it operate in reality?
4. **Normative / Moral** – Why is it unjust or just?

Most *ribā* literature addresses only one or two of these dimensions. This book adopts a systems-analysis approach to integrate the subject structurally, historically, textually, and in terms of its contemporary socioeconomic impact. The approach taken is epistemic rather than theological. Instead of making a dogmatic claim that *ribā* is “*ḥarām*” or prohibited, verses from the Qurʾān are analyzed for both internal coherence and correspondence with lived experience, demonstrating that Qurʾānic claims map onto reality more accurately than economic theory explains outcomes.

This book is written for readers willing to follow an argument to its conclusions, even where those conclusions unsettle inherited economic, religious, or moral assumptions. Most importantly, it is not written to provide legal or theological loopholes, institutional reassurance, or comfort within existing economic arrangements.

The Qurʾān repeatedly calls human beings to reflect, observe, and then follow what is best (Q 39:18)—not what is easiest, safest, or most profitable.

This book exemplifies that guiding principle. It shows that there is light at the end of the tunnel—a path that tracks truth rather than what merely “works.”

Escape from its conclusions may not be possible for some, but at a minimum, denial should no longer remain an option. The argument should stand even if no reader—including the author—can presently live outside a system that ultimately leads to serfdom.

How This Book Is Organized

Chapter 1: How the mainstream banking system operates beneath the surface and creates debt masquerading as money. It addresses two key areas and pulls back the curtain to expose the grand illusion:

- (1) how central banks, private banks, and governments interact to create and expand the money supply;
- (2) how consumer lending (mortgages, credit cards) embeds money creation into everyday life.

Chapter 2: How the Islamic banking system operates by avoiding the language of *ribā* through semantic manipulation. The chapter extends the analysis to show how

Islamic-labelled financial products often replicate the same underlying structure under different terminology.

Chapter 3: A pan-textual analysis showing how the Qurʾān presents a complete view of a *ribā*-based system and cautions believers against this dehumanizing practice. Steering clear of *ḥadīth* and *fiqh*-based interpretations, the chapter provides a Qurʾān-centric view of *ribā* and shows how it condemns wealth extraction in favor of trade and charity for the betterment of society.

Chapter 4: A comparative Judeo-Christian textual analysis of interest, tracing how semantic and moral accommodation shaped its historical evolution, and comparing this trajectory with Qurʾānic injunctions.

Chapter 5: This chapter looks at how the prevailing economic theories—all operating under a common *ribā* denominator—collapse into either inflation or deflation. It then proceeds to examine certain assumptions about money and interest to sustain the modern debt-based system. The chapter closes with a discussion on the global impact of *ribā* and the long-term consequences of maintaining the *status quo*, using real-world examples to diagnose the underlying pathology.

Chapter 6: The capstone chapter assesses the Qurʾān's internal truth claims pertaining to *ribā* by applying the Coherence–Correspondence–Calibration (CCC) Framework. Competing worldviews are evaluated side by side to determine which system provides the explanation that best fits reality.

Methodology Note

This study adopts a pan-textual, Qurʾān-alone methodology that treats the Qurʾān as a self-contained epistemic system. The Qurʾān's own claim is that it is the sole and sufficient authority for divine guidance, and a clarification and detailed explanation of everything (Q 16:89, 6:114-115, 7:52, 12:111, 17:9). Post-Qurʾānic literature—including *ḥadīth*, *ṣirah*, jurisprudence (*fiqh*), and exegetical traditions (*tafsīr*)—is excluded from analysis due to its composite authorship and chronological distance from revelation.

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Chapter 1

How the Banking System Creates Debt Masquerading as Money

“The process by which money is created is so simple that the mind is repelled.”
— John Kenneth Galbraith

Introduction

The mechanics of money have remained an enigma to the vast majority of people who use fiat currency to purchase goods and services. The current global monetary system is based on debt—an IOU or promissory note which, the moment it comes into existence, incurs interest. This system of money is far removed from earlier forms of real and honest money based on gold and silver, which could not be created in the same way as paper currency or digital entries as we see today.

While even metallic money was not perfectly immune to human manipulation—states have historically debased coins by mixing silver or gold with copper or other base metals—such debasement was incremental and physically constrained, unlike the unconstrained digital expansion and monetary debasement of modern fiat systems.

In the past, money was treated as a medium of exchange and a measure of value—a unit of labor that could be abstracted into a store of value for future transactions. The shared intuition was that money does not beget money—that a measuring stick cannot, by itself, produce more measuring sticks.

Over time, money was no longer neutral. It quietly became “capital” having productive value, and delaying its use was framed as a cost, a loss, and a burden. Charging for the mere use of money as money became the norm.

Historically, gold and silver have been the primary stores of value, and these were lent out with interest collected. Over time, these precious metals were gradually removed from circulation and replaced with fiat as legal tender for all commercial

transactions. Banks—both central and private—now hold the monopoly on the creation of debt that masquerades as money. Paper debt has further devolved into digital double-entry ledger entries, and, as we shall explain later in this chapter, our signatures have become the new collateral against debt.

When this system is analyzed alongside Qur’ānic teachings (for example, Q 2:275–279; 3:130; 17:35; 30:39; 4:161; 59:7), the conclusion emerges: the system is structurally a system based on *ribā* or interest—**not merely in isolated interest contracts, but in its entire architecture.**

In what follows, we provide a fresh perspective—one that diverges from the mainstream understanding—on the monetary machinations that prey on the commercial energy of the individual for the unjust enrichment of financial alchemists who sit atop the global wealth pyramid built on the commercial energy of the unsuspecting. Evidence is provided from original institutional sources as the interlopers provide this information hidden in plain sight.

How New “Money” is Created: Central Bank, Government, Private Banks

Central banks and the issuance of the monetary base

The central bank sits at the apex of the monetary system and has the authority to create the monetary base. It issues the monetary base (liabilities) and regulates credit conditions. The creation of credit itself, as we shall see, occurs *ex nihilo*.¹ What is called “money” is simply a loan that someone in the system borrows. It has to be paid back with interest. The act of lending itself creates new money *ex nihilo*—new purchasing power that did not previously exist—secured only by the borrower’s future obligation.

This mechanism—known in modern monetary research as the “credit creation theory of banking”—has been empirically demonstrated by economists such as Richard A. Werner (2005), who shows that banks are not financial middlemen but

¹ “*Ex nihilo*” is an old Latin phrase meaning “out of nothing” or “from nothing”

producers of the money supply. This position is also acknowledged by central banks including the Bank of England (McLeay et al., 2014).

In this book, the words money and credit/debt are used interchangeably unless specified otherwise because the banknotes that are held in our wallets are not real money but someone's debt. In central bank parlance, the technical term for money is *credit*.

While the central and private bank money (credit) creation is mechanically similar (both create liabilities), it is not the same type of money:

Central banks create:

- Monetary base (reserves + cash), **a small portion** of total money (MB)
- Reserves are only within the banking system
- Cash (banknotes) is used by the public

Commercial banks create:

- Deposits, **the vast majority** (broad money M1/M2)

These deposits are used by the public as spendable money.

Central banks create liabilities (reserves) that **are assets for commercial banks**.

Commercial banks create liabilities that **are assets for the public**. In banking this is how a liability is understood:

- A **loan** is **your liability** (you owe the bank).
- A **deposit** is **the bank's liability** (the bank owes you that money).

Broad money (M1/M2) = deposits + cash → what the public uses

Base money (MB) = reserves + cash → what banks use to settle interbank payments.

Private banks create broad money.

Central banks create base money.

Both are *ex nihilo*.

If the reader is finding these concepts difficult to comprehend, know that the vocabulary is designed to be this way—nebulous.

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What this simply means is every unit of “money” the reader holds is someone else’s debt. Let’s express this in a few different ways so it becomes crystal clear what it is that we are dealing with:

- The system is a chain of IOUs—a sequence of claims on labor, not a store of wealth;
- Money isn’t a thing. It’s a debtor’s promise backed by compulsion;
- Interest isn’t added to money. Interest is baked into money’s birth;
- Banks don’t lend existing money; they create credit *ex nihilo* and call it money.

So every dollar comes with: principal + interest obligation attached to society.

Which makes *ribā* systemic, not optional.

Let’s read on.

Both base money (reserves) and broad money serve different purposes. Reserves exist because banks don’t trust each other’s IOUs—yes, that is what they are—promises to pay.

A customer deposit at Bank A is a promise by Bank A.

But when the customer pays someone at Bank B:

Bank B does NOT accept Bank A’s promise.

It wants central bank money—reserves—which are final settlement. They’re like clearinghouse cash for banks.

The central bank influences the quantity and cost of money via monetary sleight-of-hand:

- interest-rate policy (rates influence lending demand),
- open market operations (temporarily buying or selling government bonds from banks to keep interest rates near a target),
- asset purchases (crisis-level interventions to expand the money supply on purpose and at scale), and
- reserve arrangements (digital balances created by the central bank and credited to banks on which interest is paid without producing value).

These tools are employed to maintain the illusion of stability. For example, a central bank can purchase government bonds and credit banks with reserve accounts, effectively increasing the monetary base (McLeay et al., 2014).

Today, many countries no longer enforce reserve requirements, which quietly removed the last hard constraint on bank lending.

In theory, bank lending *is* constrained by capital rules, risk regulation, profitability, and borrower solvency. In practice, as will be shown in Chapter 5, during crises such as COVID-19, these constraints are systematically relaxed, guaranteed, or bypassed by regulators and central banks.

If the explanation above has strained the reader cognitively, the **key insight** is this: **Banks can expand credit with almost no balance-sheet friction (practically creating unlimited money with minimal constraint).**

If this section has been understood clearly, what follows should not be difficult to comprehend.

Government, Debt Issuance and the Banking system

When the government needs money to pay for its obligations that exceed the amount it collects through taxes, it issues bonds to finance deficits or raise funds. Primary dealers (typically large banks) buy them, often financed through existing deposits or repo markets.² The interplay between the treasury and central bank allows the government to spend before raising full taxes—thus creating demand for credit (money). The central bank may later purchase government bonds in the open market (quantitative easing), injecting reserves, which, as discussed earlier, is just a fancy term for new debt creation by increasing the monetary base (reserves) plus asset purchases, not necessarily broad money.

² A *repo* (repurchase agreement) is a short-term loan where one party sells a government bond or similar security to another party and agrees to buy it back a day or two later at a slightly higher price. The difference in price is the interest on the loan. In plain language, the repo market is where banks and financial institutions borrow and lend cash overnight using high-quality securities as collateral. It is the primary way dealers finance large bond purchases, including government debt.

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When the government issues debt (which must be repaid with interest), it installs a **permanent drain** on the economy: every future hour of labor is partially pre-sold to service a principal + interest that was created from nothing but must now be serviced from future taxes or refinancing.

The **key insight** is this: **interest is contractually imposed by design on debt backed by the future labor of living men and women — and that debt becomes the money supply itself.**

Private (commercial) Banks and Money-creation

Private banks are the primary creators of broad money (deposits) via loans. The Bank of England research states (McLeay et al., 2014):

“The vast majority of money held by the public takes the form of bank deposits ... and ... those bank deposits are mostly created by commercial banks themselves.”

According to the Bank of England:

“when a bank makes a loan, it simultaneously creates a matching deposit in the borrower’s bank account, thereby creating new money.”

In the traditional textbook model of fractional-reserve banking, a bank receives deposits, keeps a fraction in reserve, and lends out the rest; the borrowers deposit that money again and the chain continues, multiplying the original deposit. In fact, this model is inaccurate. Empirical reality is endogenous to bank lending activity, as demonstrated by Richard A. Werner (2005): banks lend first, create deposits in customer accounts, and then seek reserves as needed.

For decades, central banks did not admit this mechanism; textbooks taught the opposite for nearly a century, and monetary policy was built on the wrong model. Werner’s work helped overturn this view. Following the 2008 credit crisis—when prevailing theory failed to match economic outcomes—central banks revised their public explanations (McLeay et al., 2014; Ryan-Collins et al., 2012).

Here is how private commercial banks create money in Canada (Parliament of Canada, Hill Notes, 2015, p. 2):

“It is important to note that the majority of money in the Canadian economy is created within the private banking system every time banks extend new loans like mortgages, consumer loans and business loans. Whenever a bank makes a loan, it simultaneously creates a matching deposit in the borrower’s bank account, thereby creating new money.”

In plain language, **the banks do not literally lend out customer deposits. They do not use their own capital as the source of loans.** Loan applications are furnished through the creation of net new debt that is credited into customer accounts and shows on the banks’ balance sheet as an asset. Commercial banks thus are not mere intermediaries of deposits but creators of “money.”

Summary

- Central bank sets base money & interest rates
- Government issues debt which banks (via capital markets) finance (If government bonds are bought using money that already exists in the system—such as from investors or pension funds—then this does not by itself create new money).
- Private banks lend, creating most of the new money (deposits) out of nothing (This is where most of the action happens. When private banks approve a loan, new debt (money) comes into existence. They simply add a new deposit to the borrower’s account—money that did not exist before.)

The money supply or credit thus expands, embedding interest-bearing debt throughout the economy. The use of the word ‘money’ is a misnomer, for what is actually created is interest-accruing debt. Since the money needed to pay interest is not created alongside the principal, new debt needs to be created *ad infinitum* to discharge existing debt. Interest does not require immediate new debt for each individual loan, but system-wide, aggregate interest *requires continual credit expansion*.

In plain language:

In aggregate, debt can only be serviced by more debt. Without continual expansion, defaults and contraction are guaranteed.

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This monetary architecture creates an asymmetric power structure that benefits financial alchemists and the institutions that control credit creation.

The **key insight** is this: **the system is designed to extract wealth from those who provide real labor and transfer it to those who profit from the scheme. The banks do take some risk, but it is disproportionately small relative to what they extract.**

Consumer Lending: Mortgages, Credit Cards, Everyday Money Creation

Mortgages: bank loans to consumers

Here is how a bank manufactures “money” when an individual applies for a loan:

- The loan application is submitted.
- The borrower signs a promissory note, promising to pay a certain amount.
- The bank records the promissory note or its equivalent amount as an asset on its books.
- The bank simultaneously creates a matching liability (deposit) credited to the borrower’s account.
- New credit or “money” springs into existence that did not exist until the borrower signed.
- The borrower then signs on a second document called the mortgage deed to pledge the house as security and give the bank foreclosure rights in case of a default.

In plain language:

First signature = “I promise to repay.”

Second signature = “You can take my house if I don’t.”

To reiterate, when a bank grants a mortgage, **it does so based on a signature**. It then creates a deposit in the borrower’s account for the loan amount. This deposit is broad money. The borrower agrees to repay principal plus interest over time. The bank has created money “from nothing”—effectively counterfeit with a license— and set a schedule of repayments that include an increase (interest).

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Mortgage lending increases the money supply because banks create the entire principal instantly, while the extinguishing effect of repayment occurs slowly over decades; as long as new credit is issued faster than old credit is repaid, the net stock of deposits—and therefore the money supply—continues to rise. When the loan has been fully repaid, what survives on the bank's side is not the principal, which cancels out, but the accumulated interest, which becomes part of its revenue, and may be distributed as profit or used for expenses.

In the gold era, banks lent out their own asset and got it back; in the modern system, banks create a liability when they lend, so repayment cancels both sides and destroys the money — the principal is a mathematical ghost that vanishes upon return, leaving only the interest as the "real" extracted pound of flesh.

From a societal perspective, this is especially problematic: the bank did not give up real productive value; rather, it entered a liability to the borrower and gained a secured claim plus interest. The new money created can be loosely thought of as taking a small portion of purchasing power from all the holders (savers) of that fiat currency and giving it to the borrower as a loan. The borrower becomes indebted for years, the interest portion transfers income or labor value from the debtor to the bank, and the increased money supply contributes to inflation, reducing the purchasing power of others.

Our signature thus provides the bank with the power to issue new debt.

It acts as the surety for the commercial energy spent by the living man or woman to pay back the principal plus interest incurred over the course of the loan. In case of default, the bank steps in to seize the asset, thus turning money it created *ex nihilo* into ownership of an asset of real value.

The **key insight** is this:

The bank risks merely bookkeeping entries that it created on the back of the borrower's signature. The borrower risks real-life property and labor.

How Mortgage-Backed Securities (MBS) Work

The story does not end there. Once the mortgage is issued, banks routinely bundle thousands of these loans into Mortgage-Backed Securities (MBS) and sell them to

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investors, pension funds, and other financial institutions. When the bank sells these securities, it receives deposits from investors.

Suppose a bank sells a \$100M mortgage pool as MBS. The \$100M it receives is not newly created money — it is investors' existing deposits transferred to the bank. When the bank sells the loans, it removes them from its balance sheet and replaces the loan assets with cash. The original deposit created at loan origination has long since left the bank when the borrower paid the home seller, so the sale does not eliminate any corresponding liability. Selling the loans provides liquidity and regulatory capital relief—allowing the bank to originate even more loans—not free money or monetization. The bank profits through origination fees, servicing income, securitization fees, interest spreads, and expanded lending capacity.

Although no new money is created by the sale itself, the **key point** is this:

By removing the loans from its balance sheet, the bank frees up regulatory capital. This gives it room to issue even more loans—and it is those new loans, not the MBS sale, that create another wave of new money in the system.

The original loan—created from nothing—is now turned into a tradeable financial product that moves through global markets. By selling it, the bank shifts the loan's default risk to investors and improves its balance-sheet position. Again, no new money is created during the sale, but freeing up capital allows the bank to lend again. This repeating cycle—originate loans, securitize them, sell them, and originate more—produces a powerful multiplier effect. The money supply expands far beyond the first signature on the mortgage contract. A single household's debt becomes the building block for layers of new financial claims, each one deepening the system's dependence on ever-growing debt.

And it does not stop at MBS. The same mortgages can be repackaged into:

- Collateralized debt obligations (CDOs)³

³ Mortgage-backed securities (MBS) pool actual home loans into tradeable assets, while collateralized debt obligations (CDOs) repackage bundles of those securities — along with other debts — into new layers of financial claims, multiplying leverage and obscuring risk.

- Credit-default swaps (CDS)⁴
- Synthetic mortgage products⁵

These instruments create multiple layers of leverage stacked on top of the same underlying loans, multiplying risk throughout the financial system where the derivative bets are many times larger than the underlying collateral.

In 2008, insurance companies sold enormous CDS protection on mortgage products even to those who did not hold the underlying securities. There were multiple speculative insurance bets on the same debt. When housing collapsed, government bailouts followed through expanded sovereign borrowing, guarantees, and central bank credit creation. While some institutions went under, the “too big to fail” banks whose business models relied on risk transfer to downstream investors through opaque financial structuring for profit maximization were further compensated for their reckless behavior. This is often framed merely as ‘moral hazard,’ a form of financial doublespeak where reckless behavior is sanitized through economic euphemisms and treated as a predictable response to incentives rather than as deliberate ethical failure. The result is a system preserved through recursive debt extension rather than true structural reform.

The **key insight** is this:

In a debt-based monetary architecture, this layering of claims is what turns ordinary mortgages into potential sources of systemic fragility. When crisis hits, the whole society suffers due to the actions of the few who understand how to game the system and externalize risk.

⁴ A CDS is insurance-like protection on a debt instrument, but in practice became a speculative side-bet on default. Because investors could purchase CDS protection without owning the underlying bonds, multiple layers of exposure accumulated on the same loans, amplifying losses during the 2008 crisis far beyond the value of the original mortgages.

⁵ A synthetic CDO is a security composed entirely of CDS contracts referencing mortgage debt. A synthetic CDO does **not** own mortgages or bonds directly. Instead, it gains exposure through credit default swaps referencing real debt instruments.

Credit cards: micro-money creation by signature or swipe

Unbeknownst to many, credit cards embed the same mechanism as bank lending into everyday life. Your signature authorizes the bank to extend credit, and each swipe activates that credit. Every time a card is used and the bank clears the payment, the issuing bank creates a short-term loan for the cardholder and a matching deposit obligation for the merchant's bank. This is new broad money: it appears the moment the payment is approved.

The Bank of England confirms this:

*"Whenever a bank makes a loan, it creates a deposit in the borrower's bank account... This **includes credit-card lending**, where banks extend credit to consumers that is used for purchases." — Bank of England Quarterly Bulletin, 2014 Q1, p.15*

Here is what happens in practice:

- A customer buys a shirt for \$100. The issuing bank creates a \$100 deposit in favour of the merchant's bank minus processing fees (more on this later). At the same time, it records a \$100 loan receivable from the cardholder. In effect, the money supply has increased: a deposit has been created out of the bank's promise to be repaid later.
- The credit-card company gives the customer a grace period. When the bill is paid in full, the bank reverses the earlier expansion: the \$100 loan asset disappears, and the matching deposit liability disappears with it. The temporary money created at the swipe is extinguished at repayment.
- If the customer revolves the balance instead of paying it off, the expansion becomes persistent. The loan remains outstanding, interest accrues, and the money stays in circulation until the debt is eventually repaid.

Through this mechanism, broad money expands through credit, the debtor repays principal plus interest, and the creditor gains income without producing anything. Meanwhile, the growth of credit contributes to inflationary pressure in the system.

The **key insight** is this:

Banks and credit card companies function as interlopers between the customer and the merchant extending credit created *ex nihilo* and profiting from it without providing any real value in return.

Credit Cards: A Parasitic Network Flow

Although credit cards appear to offer convenience and efficiency, behind the scenes they function as a “toll system” on the entire retail economy. Every swipe triggers a 1.5%–3.5% deduction from the merchant’s revenue—money siphoned off by interlopers consisting of banks, card networks, and payment processors simply for allowing the transaction to pass through their privately controlled payment rails. On a \$100 sale, the merchant receives about \$97 while the financial intermediaries keep the rest, despite creating none of the underlying value. This fee structure is not a payment for proportional service; it is hundreds of times higher than the true marginal cost of processing a transaction. This modern form of ‘coin clipping’⁶ is a mandatory toll on commerce, extracted millions of times per day.

The parasitic nature of this system becomes even clearer when we follow the money flow. At the moment of purchase, the issuing bank extends short-term credit to the cardholder, while payment is settled through interconnected banking and payment network infrastructure. However, before this temporary credit is settled by the borrower, the card ecosystem carves out its 3% cut from the retailer and keeps it permanently. Banks then profit again from what is called a **float**—the 25–55 day delay between paying the merchant and being repaid by the cardholder—during which they earn returns on money they created out of thin air. **Even customers who “pay in full” cannot escape contributing to the system:** the bank still collects the merchant’s fee and still earns float.

⁶ **Coin clipping** was a historical practice in which monarchs or mint officials shaved small amounts of precious metal from the edges of gold or silver coins before reissuing them. Over time, these tiny deductions accumulated into substantial profit for the state—devaluing the currency while extracting wealth from the public without their awareness. The term is now used metaphorically for systems that skim value from every transaction in ways disproportionate to the service provided.

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Rewards programs act as baits for customers to continue using their credit cards. Cashback and points are not gifts from banks—**they are bribes** funded entirely by merchant fees and recycled through consumer psychology to economically pressure merchants into compliance. Merchants cannot refuse cards without losing customers, and they cannot absorb the fees without raising prices. As merchants' margins shrink, they pass on the additional cost to the consumers by raising prices. The card networks' share grows, extracting more value the more the economy produces. Credit-card companies thus operate as a parasitic flow system: capturing a slice of every transaction while contributing little beyond enforcing their own dominance.

Thus, the system extracts wealth from merchants directly and from consumers indirectly, who often prefer tapping a card over paying in cash. The whole society ends up paying for the “toll” masquerading as benefits.

A cash transaction does not itself expand the money supply or create inflationary pressure. No bank enriches itself—the buyer hands over value, and the merchant receives value. But in a credit-card transaction, the issuing bank creates new money out of nothing to pay the merchant, inserts itself as an interloper into a private exchange, and collects a toll grossly disproportionate to the actual value provided. The spread, the fees, and the near-guaranteed repayment constitute pure intermediation profit extracted from society simply because the bank positioned itself between two parties who were otherwise capable of trading directly.

The **key insight** is this: **A cash transaction is an act of economic sovereignty; a credit-card transaction is a submission to the toll-gate. By embedding debt-money creation into everyday purchases, credit-card systems turn the entire retail economy into a toll road—where banks profit continuously from value they did not create.**

Debit-card transactions do NOT create new money

When a debit card is swiped:

- The bank immediately **reduces** (debits) the buyer's deposit.
- The merchant receives a corresponding deposit credit through payment settlement.

They **move existing deposits** from the customer's bank account to the merchant's account. No new bank credit is issued → **non-inflationary**.

An edge case exists: if a debit card utilizes an overdraft facility, that portion **is** credit. That specific act creates money.

Thus, the **key insight** is this:

Credit-card swipe = new money creation

Debit-card swipe = transfer of existing money

Conclusion: Societal impoverishment from the chain

Every new dollar that enters the system is someone's debt that accrues interest. Since the interest portion is never created, new debt must be created to service the old to sustain the system. While the bank only risks what it created out of nothing which is simply a bookkeeping entry with no inherent value, the living man or woman must pay back the loan plus the interest with real labor and commercial energy. In case of default, the bank steps in to seize the collateral. This is *ribā* at the architectural level that every human is chained to regardless of the borrowing status.

Because the system is built on debt-money:

- Money supply expands → inflation erodes the value of savings.
- Debt burdens accumulate → consumer income is diverted to servicing loans rather than productive activity.
- Wealth flows upward to creditors rather than circulating broadly.
- The debtor must transfer labor or assets to pay interest—unlike trade, where value is created, and risk is shared.

Thus, everyday actions (mortgage signing, card swiping) become nodes in a *ribā*-architecture that impoverishes society as a whole, even when individuals believe they are participating in legitimate trade or banking. The convenience of tapping a card is a baited hook; it offers speed while masking a systemic siphon that drains the purchasing power of the entire community while enriching intermediaries that impose disproportionate tolls on ordinary exchange.

How the Banking System Creates Debt Masquerading as Money

Who would have thought that carrying cash—once dismissed as inconvenient—would become a quiet act of defiance?

The next chapter turns to Islamic-labelled finance and its replication of this same debt-based architecture.

Chapter 2

How Islamic Banking works under the Hood

“None are more hopelessly enslaved than those who falsely believe they are free.” — Johann Wolfgang von Goethe

Introduction

This chapter is a continuation on understanding how today’s debt-based monetary system works. If there is one key concept to retain from the previous chapter, it is this: **in the current system, banks create “money” by entering a digital credit into the borrower’s account, recording that same amount as a loan asset on their balance sheet, and then collecting interest on it. No real value is exchanged.**

This chapter applies the same lens to the inner mechanics of Islamic banking and shows that underneath the covers, a structure strikingly similar to that employed by the conventional banking system lurks. The only difference is in how loan products are wrapped in religious-sounding Arabic vocabulary.

This alternative “*halal*” option to acquire a “*Sharia*-compliant” asset with the help of a bank or a financial company—whether to buy a house or a car—offers the devotional follower of Islam a false sense of security. Unaware that he is engaging in the functional equivalent of modern-day *ribā* and paying a few percent extra to boot, his hope is that this “piety premium” would land him in heaven.

“Islamic Finance”: A Labelled Mirror of Conventional Banking

The promise of “*Sharia*-compliance”

Most “Islamic finance” is Islamic in label only — a semantic rebranding of the same debt-based fiat system. It markets itself as avoiding *ribā* by replacing interest-

based lending with contracts like *murābaḥa* (cost-plus sale), *mushāraka* (partnership), *ijāra* (lease), diminishing *mushāraka* (co-ownership). These are presented as *halal* alternatives backed by elaborate regulatory language (Webb 2024), but the operational reality is quite different.

The Critical Reality: Replication of Debt-money Structure

Critical research shows that in practice, much of Islamic finance still:

- **Benchmarks its “profit” rates to conventional interest rates.** Empirical studies show Islamic financing rates closely follow conventional lending rates (Widarjono 2023).
- **Uses *murābaḥa* (cost-plus sale) as the dominant mode of financing,** which functions as a synthetic debt instrument and crowds out genuine profit-loss sharing (*mushāraka* or *muḍāraba*).⁷ *Murābaḥa* is a cost-plus sale with deferred payment, creating a fixed obligation similar to a conventional loan, with profit margins that often track interest benchmarks (Nuaimi et al. 2024).
- **Exhibits balance-sheet expansion remarkably similar to conventional banks.** Since balance-sheet expansion is the characteristic signature of credit-money creation in a fiat system (Ismail, A. Y. 2020; Viverita et al. 2023), the macroeconomic effect of *murābaḥa* financing is economically equivalent in terms of credit expansion and debt obligations to conventional banking — even if the contractual vocabulary differs.

Bank balance-sheet expansion is the universal footprint of credit-money creation, whether the contract is called a loan, *murābaḥa*, *ijāra*, or *ketchup* financing. When a financing contract is executed, the bank creates a deposit *ex nihilo*. It records the financing claim (*murābaḥa receivable*) as an **asset**, and the deposit it just created as a **liability**. The customer records a matching liability.

⁷ *Muḍāraba* functions as a **profit-sharing partnership** where one party provides the capital and the other provides expertise and labor. In *mushāraka*, all partners contribute capital to the venture.

The bank then demands more in repayment than the costless (minus the bank overhead costs) credit it created, while the borrower must repay using real earned value to extinguish a principal that did not exist before — plus the markup. The bank enriches itself by extracting the labor and wealth of an individual who believes he has entered a *halal, ribā-free* investment partnership. **The entire architecture operates behind a veil of opacity.**

Benchmarking to LIBOR/SOFR⁸

Perhaps the most damning evidence for the "cloaked finance" argument is that Islamic banks do not determine their "mark-up" rates based on the productivity of the underlying asset or local "time preference." They almost universally benchmark their rates to **conventional interest rate indexes** like LIBOR or SOFR. If the Federal Reserve raises interest rates, the "profit rates" on Islamic contracts go up too. This shows that the system is a credit-based derivative of the global interest-based economy, not an alternative to it (Bacha et al 2018; El Ghourari et al. 2023).

Because these transactions require "Sharia Supervisory Boards" and multiple layers of contract law to circumvent interest bans, they are often **more expensive** and add a "piety premium" for the consumer. Critics argue that the industry exploits religious identity to sell a religiously sanitized, costlier version of a standard banking product (Bacha et al 2018).

The assumption that Islamic bank depositors are purely motivated by religious compliance does not match with empirical data, which often tells a different story. In a dual-banking system where both types of banks coexist, depositors—particularly those with large accounts—behave as **rational economic actors** who prioritize the opportunity cost of their capital. Research shows that while small depositors may

⁸ **LIBOR** (London Interbank Offered Rate) was the average rate at which major banks reported they could borrow from one another. It was widely used to price mortgages, corporate loans, and other financial products. It has been phased out following manipulation scandals and replaced in many jurisdictions by benchmarks such as **SOFR** (Secured Overnight Financing Rate), which is based on actual overnight borrowing transactions secured by U.S. government bonds.

remain loyal due to religious commitment, large depositors reach a threshold where the cost of forgoing higher conventional interest rates becomes unbearable. At this point, the “piety premium” is traded for the market price, revealing that for the creditor class, money remains the true *qibla*. Empirical studies in countries like Turkey, Malaysia, and Indonesia confirm that an increase in conventional interest rates leads to a statistically significant withdrawal of deposits from Islamic banks, as customers shift funds to higher-yielding conventional accounts (Aysan et al. 2018; Widarjono 2023).

To prevent this massive withdrawal risk, Islamic banks are pressured to smooth their returns toward conventional rates. They often forgo their own profit shares or use specialized reserves (like the Profit Equalization Reserve) to match conventional interest rates, effectively nullifying the profit-and-loss sharing ideal the scripture demands to remain competitive (Farook et al., 2012; Archer & Karim, 2007).

The **key insight** is this:

Islamic banking = conventional banking + Arabic vocabulary.

Hidden Arbitrage and Labeling

In a number of documented instances in North America, companies marketing themselves as offering “*halal* mortgages” or *Sharia*-compliant home-finance products use a funding chain that effectively mirrors conventional interest-based lending—but under a different label. The architecture often works as follows:

- A conventional bank, credit union, or financial institution provides wholesale funding (often interest-bearing) to the Islamic-finance entity.
- The Islamic-finance entity then restructures the funds into a *Sharia*-labeled home-finance contract, applying a “profit rate” or markup.
- The entity retains the spread between its funding cost and the client’s pricing.
- The *Sharia* label masks the underlying reality: the capital often originates as debt, the client still repays principal plus markup, the risk sits overwhelmingly with the client, and the inflationary/debt-burden dynamics remain essentially unchanged.

Example A – United States

Guidance Residential — one of the largest U.S. Islamic home-finance providers — states openly that it “partners with home buyers ... and brings on Freddie Mac or Fannie Mae as investors in our mortgages.”

Although Guidance frames the structure as co-ownership (declining *mushāraka*), the funding ultimately flows through conventional housing-finance channels and investors. The economic features (pricing, amortization, return profile) resemble interest-based mortgages (Guidance Residential, 2025).

Any financial product eligible for securitization as a mortgage-backed security (MBS) is, by definition, a debt instrument—and the fact that Islamic ‘home-finance’ contracts are routinely purchased or supported by Fannie/Freddie in the U.S. exposes their true nature beyond debate.

A major US fatwa body (AMJA) has scrutinized Islamic home-finance contracts in the US, raising concerns about late-payment penalties, sale of debt, and maintenance risk allocation in several products, even while approving Guidance’s own model. (Assembly of Muslim Jurists of America, *AMJA Resident Fatwa Committee resolution about Islamic home financing companies in the U.S.*, 2014).

Example B – Canada

In Canada, the report by Canadian Lenders Association (2024) titled *Demystifying Halal Financing* notes that “even though these profit rates can be based on the Bank of Canada’s overnight interest rate, they tend to be higher than those attached to traditional, non-*halal* mortgages.”

Further, Ijara Community Development Corp (2025) and other *halal* home-finance providers state on their own websites that they rely on **funding from banks, credit unions, or external capital providers** rather than internal deposit financing. EQRAZ, *Our Halal Mortgage*, 2025 explicitly mentions that they “have successfully arranged the *halal* funding required to meet market demand” which suggests reliance on external capital rather than simple deposit-lending from the *halal* provider itself. CBC News (2022, [December 21]) confirms that *halal*-mortgage providers such as Eqraz depend on external funding from banks and other lenders. This is unmistakable

evidence that conventional financial institutions stand behind many supposedly ‘Islamic’ mortgage products.

The Mechanism in Brief

1. A conventional bank or credit union provides a credit line or wholesale funding to the Islamic-finance entity (if the source is a bank credit facility, this is where new money is created).
2. The entity repackages the funds into a Sharia-labeled product (*murābaḥa*, diminishing *mushāraka*) and sells it to the consumer using a “profit rate.”
3. The underlying funding cost is typically derived from interest-bearing sources, even though the consumer contract avoids the term “interest.”
4. The Islamic-finance provider captures an arbitrage spread between the cost of funding and the markup charged.
5. The consumer repays principal + markup, with the economic burden and risk profile nearly identical to a conventional mortgage.

While specific terms, rates and funding contracts vary, this architecture is not an anomaly; it is the standard operating procedure for the industry in the U.S. and Canada.

Is “Islamic *Halal*-Mortgage” Really Risk-Sharing?

One of the key tenets of what makes an investment *halal* is the sharing of risk. Yet Islamic mortgage products today are engineered to **avoid** sharing loss, chiefly through the use of **mortgage insurance**. This occurs at two distinct levels in Islamic-labelled home-finance:

1. Client-Facing Insurance

In Canada and many Western jurisdictions:

- If the buyer puts **less than 20% down**, mortgage insurance is legally required.
- Islamic finance companies **cannot bypass this requirement**, even when they present the arrangement as *co-ownership* or *lease-to-own*.

Thus, they typically either:

- **Register the transaction as a conventional mortgage** in the land registry (very common in Canada and the U.S.). This makes the financing eligible for CMHC/Sagen insurance exactly like any other mortgage. The front-end contract uses Arabic terminology, but the back-end legal structure is an ordinary mortgage.
- **Use a private insurer** and pass the premium on to the client — sometimes embedded within the markup.

The result: the buyer pays mortgage-insurance premiums just as in a conventional mortgage, because economically the contract *is* a mortgage.

2. Lender-Facing Credit Enhancement

Islamic-finance entities routinely rely on:

- bank credit lines,
- warehouse funding,
- securitization partners (e.g., Freddie Mac/Fannie Mae in the U.S.), and
- institutional investors.

These funders **require credit protection**. They do not provide capital unless the Islamic-finance company supplies:

- credit insurance,
- guarantees, or
- reserve accounts that function like insurance.
- Therefore, Islamic lenders comply by:
- obtaining wholesale insurance products (analogous to U.S. Private Mortgage Insurance (PMI)),
- creating internal reserve pools funded by customer payments, or
- charging “risk-mitigation fees” that serve the same purpose.

Again, the Islamic vocabulary changes, but the mechanics do not.

The result: the risk is shifted away from the “Islamic” lender and onto the client — exactly as in interest-based banking.

Even when a buyer puts down more than 20% and avoids mortgage-insurance premiums, the economic reality does not change: the Islamic-finance provider still

structures the contract to eliminate its own exposure. Risk is not shared but transferred, ensuring the financier a guaranteed, risk-free return — the very hallmark of *ribā*.

The Core Issue: Mortgage Insurance Means It's a Loan

Mortgage insurance exists *only* in debt-based lending systems. If a structure were genuinely:

- equity-based,
- risk-sharing,
- or profit-loss sharing,

then **mortgage insurance would be unnecessary**, because the financier would share the risk of loss. Islamic mortgage products today are deliberately engineered *not* to share loss, which is why they must rely on the same insurance mechanisms as conventional loans.

This alone exposes the functional reality: **These are loans masquerading as sales or partnerships.**

The **key insight** is this: **mortgage insurance is the physical evidence that the financier has successfully outsourced the risk of loss while securing the certainty of gain—which is the essence of *ribā*.**

Semantic Reverse-Engineering: How Islamic Banks Reconstruct Conventional Loans Into “Sharia-Compliant” Forms

A less visible but widely observed practice within the Islamic finance industry is what scholars call *semantic reverse-engineering*: the process of starting with a **conventional interest-based loan structure** (including amortization schedule, pricing, risk allocation, and collateralization), and then **retro-fitting Islamic terminology**—*murābaḥa*, *ijāra*, diminishing *mushāraka*—onto that pre-existing economic template.

Multiple academic studies have documented that the contractual form is Islamic, but the economic substance remains indistinguishable from an interest-based loan. El-Gamal describes this as ‘*Shari’a* arbitrage,’ arguing that many *murābaḥa* products are engineered by modifying standard interest-based loan contracts and end up

economically equivalent to conventional loans (El-Gamal, *Islamic Finance: Law, Economics, and Practice*, 2006).

Usmani, one of the major Sharia scholars in the industry, acknowledges that in practice contemporary Islamic banks often replicate conventional interest-based mechanisms in substance while changing the terminology, largely due to market pressures and the difficulty of implementing genuine profit-loss sharing (Usmani 2002). A critical study of Malaysian Islamic banks finds that *murābaḥa* and *ijāra* contracts are structured to closely mirror conventional loan products in pricing and risk allocation, with Islamic labels applied to what remains, in practice, a debt-based structure (Dusuki & Abdullah 2007).

The effect is predictable: the borrower receives what is functionally a conventional loan created through fiat credit, the bank receives a risk-free return, and the entire transaction is justified through linguistic engineering rather than genuine economic transformation.

The **key insight** is this:

Islamic finance often does not redesign the economic system — it redesigns the vocabulary of conventional debt.

Conclusion: Qurʾānic critique of “Islamic” Banking

To claim that a debt-based mortgage becomes trade simply by relabeling *ribā* in religious vocabulary is akin to claiming that pouring ketchup on pork makes it permissible. The flavor changes, but the biology remains *harām*.

If the outcome looks like *ribā*, smells like *ribā*, and extracts like *ribā*, then no amount of “legal perfume” (Arabic vocabulary) can change its essence. Consequently, the Qurʾānic prohibition of *ribā*—grounded in justice, risk-sharing, and real value—cannot be satisfied by retroactive relabeling of interest-based structures. What matters is equitable exchange and avoidance of exploitation (Q 2:275; 2:278-279). Contracts that guarantee returns without commensurate risk or value, impose burdens on debtors, and encourage parasitic lending tendencies violate these moral criteria.

This chapter has shown that **the entire architecture is *ribā* with Arabic vocabulary**. No legal rephrasing or *fiqh* rulings in its favor can purify or change that reality.

Hasan (2008) argues that credit creation *ex nihilo* is not inherently un-Islamic and that Islamic banks may create credit in the same manner as conventional banks. This position, which we shall explore later in more detail, reflects a broader trend within modern Islamic economics: a willingness to adapt Western banking mechanisms even when these mechanisms conflict with the Qur'ānic moral architecture surrounding *ribā*, justice, and real-value exchange. This often includes condoning 'low' interest under the rubric that time value of money is required for the modern economy to function.

The fact that Islamic financing streams replicate interest-based outcomes and promote the same *ribā*-based schemes as the mainstream means they fail the correspondence test: they do not correspond to the ethical reality the Qur'ān demands and seeks to restore. We examine this in the next chapter.

Chapter 3

Ribā in the Qurʾān

“O you who believe! Be conscious of God, and give up what remains of ribā, if you are truly believers.” (Q 2:278)

Introduction

Previously, in Chapter 1, we examined how the conventional banking system functions and how debt is transmuted into “money” through monetary sleight-of-hand. In Chapter 2, we extended that analysis to so-called Islamic banking, which operates in essentially the same way—only rebranded in religious incense and calligraphic vocabulary. We showed that no real trade occurs: no value is exchanged, no risk is shared, and the transaction remains risk-free only for the lender while the insurance premiums are passed on to the devotee. The consumer bears the entire downside while being given the impression that the contract has been purified of *ribā*.

Chapter 3 closes the loop by bringing this economic correspondence back to the Qurʾān. The verses exhibit a striking correspondence between divine principle and observable socio-economic reality. The Qurʾānic economic ethic on *ribā* is clear: **transparency, risk-sharing, compassion, and fairness in exchange.**

The Qurʾān does not present *ribā* as an isolated legal bullet point. It presents an *integrated architecture* in which multiple verses converge on one meaning. And the Qurʾān instructs us to test its own coherence:

“Do they not reflect upon the Qurʾān? If it were from other than God, they would have found within it many contradictions.” (Q 4:82)

This verse establishes the interpretive method:

No verse may be understood in a way that creates contradiction with the Qurʾān’s established principles. All meanings must cohere.

With Q 4:82 as the verification axis, the *ribā* verses provided in the next section assemble into a **single, consistent system**.

Note: The following discussion is deeply textual. You may find it helpful to keep a copy of the Qurʾān nearby while reading.

The Debt-Money and *Ribā* Connection

In the next sections of this chapter, we derive the meaning of *ribā* and other related terms on a pan-textual basis of the Qurʾān. Instead of relying on any secondary literature such as *hadith* (sayings of the prophet), *tafsīr* (exegesis), or *fiqh* (jurisprudence), we let God’s final scripture speak for itself—since by its own claim, it is the sole and sufficient authority for divine guidance and a clarification and detailed explanation of everything (Q 16:89; 6:114-115; 7:52; 12:111; 17:9).

What is *Ribā* in the Qurʾān?

The trilateral root *rā bā wāw* (ر ب و) occurs 20 times in the Qurʾān. The root carries the meanings of:

- increase, addition, surplus (Q 2:275; 2:276; 2:278; 3:130; 4:161; 30:39),
- swelling, expansion, growth (Q 13:17; 22:5; 41:39),
- height, a high ground (Q 2:265; 23:50)
- to bring up (Q 17:24; 26:18)
- numerous, exceeding (Q 16:92; 69:10)

Across all its usages, the root carries the sense of **rise, increase, or addition**.

Ribā: a unilateral increase gained at someone else’s expense

The Qurʾān uses the term *ribā* in the context of “increase” on a loan or a surplus over the original principal amount the lender demands. Verses Q 2:278-279 provide further clues:

“and give up what remains [due to you] of ribā ...But if you repent, you may have your principal (raʿūsū amwālikum) — you do no wrong, nor are you wronged” (Q 2:278-279)

If you repent → you get ONLY “*ra’ūsu amwālikum*” (your principal or *lit.* “heads of your wealth”) —the original source or “summit” of your capital. No increase over principal is permissible. Because you must “*not wrong nor be wronged.*”

The verse literally tells us three things:

1. God is asking believers to give up what remains of *ribā*
2. If they repent, they can keep the principal amount—sets the **legal ceiling**
3. Which means ***ribā* is any surplus** over the principal in a loan.

This verse establishes the **only lawful return** in a loan:

- **Principal = 100% permissible**
- **Any surplus = 100% *ribā* i.e. it is not rate-based**

So Q 2:279 provides the reference axis from which we can further refine the definition of *ribā*.

Q 4:161 Definition of *Ribā*

Q 4:161 clarifies its forbidden status and provides the moral principle from history:

“... We made unlawful for them [certain] good foods which had been lawful to them, and for their averting from the way of Allah man and [for] their taking of ribā while they had been forbidden from it, and their consuming of the people’s wealth unjustly ...” (Q 4:160-161)

Three points here are critical:

1. *Ribā* is something taken here, not given as we shall see later in Q 30:39.
2. It is inductively paired with **unjust consumption of wealth**, meaning **value taken without value given**.
3. It is something that has historically been universally forbidden.

This is the Qur’ānic principle on the subject of money: ***ribā* is a gateway to consuming wealth unjustly—no value is exchanged.**

Q 30:39 Definition of *Ribā*

The Qurʾān exposes *ribā* from both directions: as **extraction** and as **deceptive generosity**. In Q 4:161, *ribā* is portrayed as *taking*—an act of consuming people’s wealth without giving value in return, the pure embodiment of *ẓulm*.

By contrast, Q 30:39 highlights the opposite psychological posture:

The Two Faces of Riba

ribā-akhdh
(taken)

“...their *taking*
of *riba*, although
they had been
forbidden from it.”

(Q 4:161)

ribā-atāʾ
(given)

“Whatever you
give as *riba*,
seeking increase
in people’s wealth.”

(Q 30:39)

“Whatever you give (ātaytum) as ribā, seeking increase in people’s wealth, does not increase with God.” (Q 30:39)

Ribā as something *given*, framed by its practitioners as “help,” “benefit,” or “increase in people’s wealth.” The Qurʾān reveals this as a moral inversion.

What appears outwardly as generosity is internally an extractive mechanism, because the increase is guaranteed, unearned, and ultimately sourced from others’ economic output—whether through direct repayment, redistribution, or systemic channels such as taxation and inflation.

Thus, *ribā* operates in two forms:

1. *ribā-akhdh* (taken) which is openly exploitative (Q 4:161), and

2. *ribā-‘atā’* (given) which is exploitative while masquerading as benevolence (Q 30:39).

Because *ribā* legally requires a principal and guaranteed increase (Q 2:279), modern ‘aid’ instruments that follow this structure fall naturally under the warning of Q 30:39—generosity in appearance, extraction in reality. They are a gift that consumes the recipient. Hence, based on the comparison shown in the visual above, the Qurʾān:

- dismisses the mainstream argument that interest is “helpful”
- eliminates the idea of “beneficial” or “moderate” *ribā*
- repudiates interest given under the guise of development
- exposes student loans, bonds, pensions, savings interest
- demonstrates *ribā* as fraudulent increase
- aligns morality with *actual* value, not numeric growth

Modern financial instruments—from savings-account interest to government bonds and development loans in the guise of “financial aid”—fit precisely this second category: they are marketed as giving wealth, yet they generate no real increase with God, only systemic burden. We shall see later in Chapter 5 how any rate of interest is mathematically unsustainable in the long term.

Q 2:275 Pairs *bayʿ* and *ribā* as Moral Opposites

The word *ribā* is contrasted with *bayʿ* in Q 2:275. Exactly like other conceptual pairs in the Qurʾān for example:

- *ḥaqq* ↔ *bāṭil* (truth vs falsehood)
- *layl* ↔ *nahār* (night vs day)
- *khayr* ↔ *sharr* (good vs evil)
- *īmān* ↔ *kufr* (belief vs denial)

bayʿ and *ribā* form a Qurʾānic antithesis. But to avoid circular reasoning, we must first define *bayʿ* to further refine the Qurʾānic definition of *ribā*.

The trilateral root *bā yā ʿayn* (ب ي ع) occurs 15 times in the Qurʾān in the meaning of “to pledge alliance”, “to contract”, “to bargain”, and “to trade.”⁹

The Qurʾān provides a clear definition in Q 9:111, where the logic of *bayʿ* is laid out with absolute clarity:

God has purchased (ishtarā) from the believers their lives and wealth in return for Paradise...Rejoice in the transaction (bayʿ) you have made. (Q 9:111)

Although the content is metaphoric, the **structure of exchange is literal**:

- Two parties making a deal
- Mutual consent
- Each side gives and receives something of real value
- Risk and cost on both sides
- No guaranteed unilateral gain

This meaning is reinforced in other verses where *bayʿ* refers to normal commerce that occupies people in daily life (Q 62:9; Q 24:37).

So *bayʿ*, in the Qurʾān, means:

A real exchange or deal involving value, effort, cost, and mutual risk.

Now Q 2:275 can be interpreted without circularity

“...That is because they say, “Trade (bayʿ) is equivalent (mithl) to ribā.” But God has permitted trade (bayʿ) and forbidden ribā.” (Q 2:275)

Now that we know:

- ***bayʿ* = reciprocal value exchange** (mutual risk + effort) (Q 9:111)
- ***ribā* = unilateral, guaranteed increase without value creation** (Q 4:161; 30:39; 2:279)

Claiming equivalence between *bayʿ* with *ribā* is an attempt to legitimize extraction by disguising it as a voluntary exchange. The Qurʾān immediately blocks that move by

⁹ In Q 22:40 *biya* has been translated as churches which appears to be a later construct given that all other meanings of the root have the sense of *allegiance* and *trade*. See note 5 for this verse at <https://reader.quranite.com>

establishing *ribā* as NOT trade, but something categorically distinct. The contrast is not between “low” and “high” rates, but between trade (mutual risk/effort/value) and *ribā* (a unilateral increase over a loan). The linguistic pairing indicates:

***bayʿ* = value creation and reciprocal participation**

***ribā* = value extraction and asymmetrical participation**

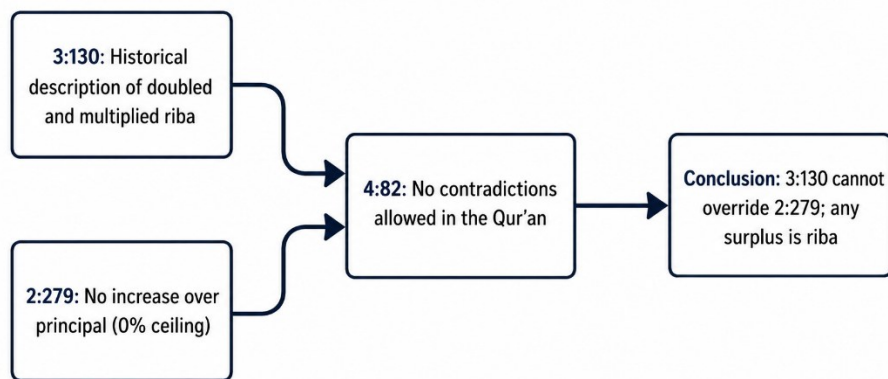
Thus, like *ḥaqq* vs *bāṭil*, there is **no middle category**.

Understanding Q 3:130

Now that we have established the meaning of *ribā*, this helps us to understand Q 3:130 on a pan-textual basis.

*“O you who have believed, do not consume *ribā* doubled and multiplied...”* (Q 3:130)

Here Q 3:130 is describing what people were *doing*, not what defines *ribā*. The phrase “doubled and multiplied” is historically **illustrative**, not **definitional**. It is not prescriptive but descriptive of the moral state of believers at the time.



Since Q 2:279 already provides the legal definition, Q 3:130 cannot be used to introduce a “permissible” interest rate. This is because a low interest rate can also compound to multiples of the principal if it cannot be repaid by a struggling borrower—an outcome structurally embedded in debt contracts.

Attempting this creates an immediate structural contradiction and violates Q 4:82.

- Q 2:279 → **No increase allowed (0% limit)**
- Q 3:130 → **Large *ribā* prohibited, small *ribā* permissible**

This would mean:

The Qurʾān both forbids all surplus AND allows some surplus → Contradiction

The modern attempt to smuggle in a low interest rate on the pretext of time value of money is blocked by the mathematical finality of Q 2:279. If the Qurʾān had permitted a low interest rate, the verse would permit principal plus a small surplus but it didn't.

Concise takeaway:

Q 3:130 warns against extreme *ribā*.

Q 30:39 warns against polite *ribā*.

Q 4:161 and Q 2:279 ban all *ribā*.

Q 2:282 Regulates Documentation, not *Ribā*

A common appeal is to **Q 2:282**, claiming that interest-bearing loans are permitted because the verse speaks of contracts and “mutual agreement.”

But Q 2:282 is about **writing down deferred obligations**, not about adding an increase.

Here is the verse's actual linguistic structure:

“O you who believe! When you contract a credit obligation (tadāyantum bi-dayn) for a specified term, write it down” (Q 2:282)

The operative word here is ***dayn*** from root **d-y-n** (د ي ن) → judgment, obligation, liability, accountability. It means **something owed, a deferred obligation, a postponed payment**, without any inherent implication of increment or interest.

Key point:

The Qurʾān does **not** define *dayn* as *ribā* but as an obligation without increase. The Qurʾān defines *dayn* as **delay** and **liability** — a deferred settlement (see also Q 4:11-12).

Thus Q 2:282 is addressing **any deferred exchange**, including:

The Architecture of Debt-Money and Interest

- a sale with delayed payment (credit sale),
- labor to be compensated later,
- delivery now with settlement later,
- or even a simple IOU.

There is **zero linguistic indication** in the verse of:

- compounding interest,
- increment over principal (to compensate for time),
- risk-less profit for the creditor,
- banking,
- mortgages,
- or commercial lending.

Moreover, Q 2:282 uses Form VI verbs:

- *tadāyantum* — “you mutually enter into a deferred obligation”
- *tabāya‘tum* — “you mutually transact”

Form VI always implies **mutuality, shared understanding, and reciprocity**—not asymmetry or hidden contractual risks.

Q 2:282 also cares about transparency by **writing contracts justly** (*bil-‘adl*), **full disclosure, and protecting the less knowledgeable** (*safīh*) and **weak** (*ḍa‘īf*)

Modern loans violate all these principles:

- **Shared knowledge:** Bank understands money creation, risk pricing; borrowers do not.
- **Shared risk:** Bank: minimal risk, have legal priority over assets in case of default; borrower: all risk, bears the full downside.
- **Equal footing:** Bank can securitize, insure, collateralize; borrower cannot.
- **Transparency:** legal and other adhesion-contract¹⁰ asymmetries hidden from borrower.

¹⁰ An **adhesion contract** is a standard-form contract where one party (the bank) sets all terms, the other party (the customer) can only accept or walk away, and no real negotiation occurs.

A contract cannot be “mutually agreed” when one side is operating under concealed assumptions.

Thus, Q 2:282 regulates the *documentation* of deferred obligations, not the permissibility of interest. It deals with *delay*, not *increase*.

Concise takeaway:

Q 2:282 = Write it down with mutual agreement and full disclosure.

Q 4:161 and Q 2:279 = *ribā* forbidden, only principal permitted

Moral-Structural Nature of *Ribā*

Across its discourse, the Qurʾān highlights certain core moral consequences of *ribā*:

(1) *Ribā* corrupts moral and spiritual perception

“Those who consume ribā will not rise except like one whom Satan destabilizes with a touch.” (Q 2:275)

This is not metaphorical. The Qurʾān describes a **real spiritual disequilibrium**: those who live off *ribā* become morally unbalanced, unable to stand upright in judgment, unable to distinguish fairness from exploitation. *Ribā* corrupts the inner moral compass by which humans evaluate evil from good, this temporal life from the eternal.

Thus, *ribā* is not merely a financial issue—engagement in it leads to **spiritual distortion**.

(2) *Ribā* turns economic relationships into injustice

“...their taking of ribā, ...and their consuming of people’s wealth unjustly...”

(Q 4:161)

Ribā is explicitly linked with **wrongfully consuming others’ wealth**.

It is the perfect embodiment of *ẓulm*—value taken without value given. It rewards power expressed through hidden knowledge rather than contribution and erodes every element of ethical exchange.

(3) *Ribā* is a historical wrong — prohibited before the Qurʾān

“...their taking of ribā, although they had been forbidden from it...” (Q 4:161)

Ribā was prohibited:

- in the law given to the Children of Israel,
- in earlier prophetic teachings,
- as part of the primordial universal moral order.

Thus, the Qurʾān did **not** introduce *ribā* as a new legal category. It **restored a universal moral principle** that had been repeatedly violated.

Moral Choice in *Ribā*

The Qurʾān issues its most severe warning in the entire scripture to the believers:

“...if you do not give up ribā, then receive a declaration of war from God and His Messenger...” (Q 2:279)

This language is among the most severe in the Qurʾān. Why? Because *ribā* is not an individual sin—it is a **systemic one**. It destroys societies in slow motion:

- corrupting financial ethics,
- transferring risk from powerful to weak, and wealth from weak to powerful,
- normalizing exploitation,
- breeding resentment and instability.

“War from God” manifests as the **inevitable collapse** of unjust systems—moral, social, and economic.

On the other hand, the Qurʾān extends radical mercy:

“But if you repent, you may have your principal — you do no wrong, nor are you wronged.” (Q 2:279)

Three truths are established:

1. **Only the principal may be reclaimed**—Not profit, not gain, not interest—**only the amount originally lent.**
2. **You must inflict no injustice on others** — *“You do no wrong”*—you cannot take a single unit more than what you gave.
3. **The repentant person suffers no injustice** — *“Nor are you wronged”*—your capital is safe.

The Qurʾān purifies wealth by removing the exploitative element while allowing the lender to recover what is rightfully theirs. This is the entire *ribā* ethic.

The Qurʾān pairs the destruction of *ribā* to the flourishing of *sadaqah* (charity).
Allah destroys ribā and gives increase for sadaqah. (Q 2:276)

God obliterates (*yamḥaq*) *ribā* but causes *sadaqah* to grow (*yurbi*). This contrast again reinforces:

- *Ribā* ≠ growth through real value
- *Sadaqah* = real growth (through giving)

The Qurʾān's choice of the causative Form IV verb *yurbi* ("to cause increase"), derived from the same root as *ribā*, for **charity** is deliberate irony:

God causes charity to increase. "Increase" belongs to generosity, not lending.

A related theme appears in Q 2:279–280, where the Qurʾān instructs creditors that only the principal sum is rightfully theirs. It then instructs the creditor to treat the debtor as a brother in hardship, not as **an asset to be liquidated**, and gives them the option to forgive the debt entirely as an act of charity, which is "better."

Thus *ribā* = **false increase**, *sadaqah* = **true increase**.

Summary and Modern Implication

The Qurʾān's definition and moral framing of *ribā* yields a simple, universal rule:
any increase over and above the principal amount = *ribā*.

This aligns precisely with the analysis in Chapters 1 and 2:

- Modern bank loans involve a predetermined surplus
- The lender bears no real risk.
- The borrower carries the full burden.
- The "increase" is fixed and guaranteed.

Therefore:

Taking a bank loan at any rate of interest, regardless of its size, falls under the Qurʾānic definition of *ribā*—not because the rate is excessive, but because any surplus is *ribā*, and the Qurʾān does not distinguish between 'interest' and 'usury.' It is a mathematical and moral participation in the 'Declaration of War' established in Q 2:279

Historically, this is consistent with the definition of *usury*, which meant **any** interest on a loan; its modern restriction to "excessive interest" is a later semantic

development shaped by European finance — a topic that will be discussed in more detail in the next chapter.

The Qurʾān instead distinguishes between **value exchange** and **value extraction**, between **mutual risk** and **guaranteed gain**, and between **justice** and **injustice**. Interest-based systems inherently transfer wealth upward, concentrating power in creditors and generating the very inequality and instability the Qurʾān warns against.

Conclusion

From a Qurʾān-centered ethical lens, every modern loan—mortgage, credit card, or consumer credit—creates money from nothing, demands repayment with an increment, burdens borrowers, concentrates wealth in financial institutions, and erodes the value of existing money through inflation. The entire process qualifies as *ribā* because the bank-created principal, having cost the lender nothing, is then tied to a guaranteed surplus—an unjust increase, even after accounting for modern regulatory capital costs, loan-loss provisioning, or operational expenses.

Islamic-labelled financial products often reproduce the same architecture under different vocabulary, failing the correspondence test of the Qurʾān. Realignment with Qurʾānic ethics requires a total architectural reset of monetary systems so that they rest on real value creation, risk-sharing, circulation of wealth, and minimal debt-servicing burdens.

Every swipe, every signature, every new debt contract—and even many “compliant” products—forms a node in a global *ribā* machine operating in plain sight.

Ribā in the Qurʾān refers to *any increase* above the principal in a loan, regardless of rate or magnitude. The text does not restrict *ribā* to ‘usury’ but treats the charging of interest, no matter how low, as impermissible because the compounding formula guarantees doubling and tripling of principal over longer time horizons.

With the Qurʾān’s position on *ribā* clarified, the next chapter examines the other two Abrahamic religions, their textual positions on this issue, and how those positions evolved over time to legitimize interest-bearing finance, culminating in the modern banking system now embedded in everyday life.

Chapter 4

Comparative Judeo-Christian Scriptural Background

"For money was intended to be used in exchange, but not to increase at interest." — Aristotle (Politics Book I, Part X)

Judeo-Christian Take on *Ribā*

From the Qurʾānic injunctions presented in Chapter 3, we can clearly draw the conclusion that money and credit must be anchored in real value, risk-sharing, mutual effort, and broad circulation—not issuance from nothing that extracts unearned gain and concentrates wealth. The moral logic behind the Qurʾān's prohibition of *ribā* stands in contrast to the fragmented and historically shifting positions found in the Jewish and Christian traditions. A comparison of Abrahamic scriptures and their position on the subject of usury motivates this chapter.

The New Testament: No Ban on Interest

While this may come as a shock to a practicing Christian, the New Testament gives **no explicit legal ban** on charging interest. Jesus never prohibited interest, never instituted a universal doctrine against *ribā*, and never confronted moneylenders for usury. In the well-known "Temple cleansing" scene, Jesus' objection is directed at **commercial activity within sacred space**, not at lending or interest (Matthew 21:12–13; Mark 11:15–17; John 2:14–16). The Greek terms for interest (τόκος, *tokos*) or lending at interest (*trapezizein*) do not appear anywhere in these passages.¹¹

¹¹ Mainstream Christian scholarship acknowledges that the New Testament contains no explicit legal prohibition of interest. Neither Jesus nor the Apostles legislated against interest-taking as such (Noonan 1957, p. 19; Brown 1997, p. 160). The Temple-cleansing narratives condemn the commercialization of sacred space, not lending or banking (Sanders 1985, p. 75; Blomberg 2009, p. 276).

Strikingly, the **only times** Jesus uses the word *tokos* (interest) are in parables where interest-bearing returns are **approved as morally unproblematic**:¹²

- **Matthew 25:27** — “you ought to have deposited my money with the bankers, and at my coming I would have received back my own with *tokos* (interest).”¹³
- **Luke 19:23** — “why did you not put my money in the bank, that at my coming I might have collected it with *tokos*?”¹⁴

Thus, if one reads the New Testament on its own terms, interest is not condemned at all. Although Jesus is not teaching people to charge interest—he is teaching with a scenario in which charging interest is morally unproblematic and a socially accepted practice.

Christian Ban and Accommodation on Usury

The later Christian ban on usury arose **not** from Jesus or the Apostles, but from a fusion of:

1. **Jewish law** (which prohibited interest within the in-group),
2. **Greek philosophical critiques**, especially Aristotle’s claim that “money is barren” (*Politics* I.10), and
3. **Pastoral-economic concerns** in late Roman society,¹⁵ where debt slavery had become destructive.

¹² Philologically, the Greek noun for interest (τόκος) appears only in Jesus’s parables (Matt 25:27; Luke 19:23), not in the Temple-cleansing narratives in the Gospels. In these parables, interest is treated as an economically normal assumption rather than a moral transgression (Jeremias, 1972, p. 61; Hart, 2017).

¹³ The speaker is the *master* in the Parable of the Talents, not Jesus.

¹⁴ The speaker is the *nobleman/king* in the Parable of the Minas, not Jesus.

¹⁵ Debt bondage had become a pervasive feature of late Roman economic life, prompting strong pastoral reactions from early Christian thinkers. Basil of Caesarea described usury as an institution that “casts a man into slavery” (Homily on Psalm 14, in *Ascetical Works*, CUA Press, 1962). Ambrose of Milan likewise condemned interest as a mechanism that “exact[s] a slave in return” (De Tobia 14, in *Nicene and Post-Nicene Fathers, Series II, Vol. 10*). Imperial legislation reflects similar concerns: the Codex Theodosianus repeatedly issued edicts to restrain creditor abuses and prevent the enslavement or detention of debtors and their

The Architecture of Debt-Money and Interest

Aristotle in *Politics* Book I.10, explains why interest is so "hated":

"And this term interest, which means the birth of money from money, is applied to the breeding of money because the offspring resembles the parent. Wherefore of all modes of getting wealth this is the most unnatural."

He uses the Greek word *tokos* (meaning both "interest" and "offspring") to highlight how absurd he found the idea of inanimate currency "giving birth" to more currency.

Church Fathers like Basil, Ambrose, and Augustine condemned interest in Late Antiquity (4th–5th centuries). By the 9th–10th centuries, charging *any* interest was already widely treated as sinful in Christian moral theology.

Here is the **key point**: following Aristotle and Roman law, the Church prohibited **usury** as **charging for the mere use of money as money**. The ban was **not** on lending *per se*, but on **guaranteed gain without productive risk**. Money was treated as:

- a medium of exchange
- a measure of value

It was not to be treated as a productive asset with a time value. Lending did continue but through other means such as shared partnerships, *commenda* (investor + merchant) and other profit-sharing ventures. Both profits and losses were shared and there was no guaranteed return. Creditors could be compensated for services, not time. This was structurally closer to *bayʿ* (a real exchange) than to *ribā* and the Church strongly preferred this model.

During the Crusades, kings, nobles, and institutions borrowed heavily to fund campaigns. Lenders included Italian merchant banks, Jewish financiers, and later Christian financiers operating through loopholes. The Church itself often acted inconsistently:

- It condemned charging interest in principle

families (e.g., Cod. Theod. 2.28.2, 319 CE). These socio-economic conditions shaped the Church's escalating prohibition of usury, which emerged as a pastoral response to widespread indebtedness and moral exploitation rather than from any explicit New Testament command.

Comparative Judeo-Christian Scriptural Background

- Yet tolerated, facilitated, or indirectly benefited from interest-bearing arrangements in practice

The church's **inability to live by its own ban** became increasingly visible during periods such as the Crusades.

Prior to 1300 AD, **usury meant any interest whatsoever**, not “excessive interest.” The word usury originates from the Latin word *usura* meaning payment for the use of money (*usus / uti* = use).¹⁶ As explained earlier, charging *any* risk-free return on a loan of money was considered usury in Christian moral theology, not just lending at exorbitant rates.

The semantic and moral drift occurred gradually from the 12th to 15th centuries, and the Church gradually softened the ban by creating the following loopholes:

1. *damnum emergens* — “emergent loss”—originally compensation for actual loss or exposure to risk which became a loophole when hypothetical loss replaced actual harm, allowing money to earn a return simply for being lent.
2. *lucrum cessans* — “cessation of profit”— it allowed the lender to charge for **the ghost of a profit not made**—converting the subjective “opportunity cost” into an objective, extractive claim.

This opened the door to risk-free lending through contracts that functioned as interest while claiming “moral compliance.”

By the 16th–17th centuries, on the pretext of progress and the earning of interest measured against natural law—framed as a necessity for the new economy to flourish—an increasingly secular Europe with waning Christian values had accepted interest-based finance outright (Noonan, 1957).

Hence, **the redefinition of usury from “any interest” to “excessive interest” was not linguistic discovery, but moral surrender. It was the moment Europe traded its spiritual architecture for a structural debt-trap.**

¹⁶ “Usury.” *Online Etymology Dictionary*, <https://www.etymonline.com/search?q=usury>. Accessed [January 2026].

The Hebrew Bible: A Tribal, In-Group Prohibition

The Pentateuch's stance on interest is both explicit and **dualistic**. It forbids interest **only toward fellow Israelites**, while permitting it toward non-Israelites:

- **Exodus 22:25** — “If you lend money to any of *My people* who is poor among you, you shall not be to him as a creditor; you shall not charge him *neshekh* (interest).”
- **Leviticus 25:35–37** — “If your *brother* becomes poor... take no *neshekh* or *tarbit* from him.”
- **Deuteronomy 23:19** — “You shall not charge *neshekh* to your *brother*.”
- **Deuteronomy 23:20** — “You may charge a *nokhri* (foreigner) interest, but to your brother you shall not charge interest.”

This structure reflects a **tribal ethic**: a rule designed to preserve internal cohesion, not a universal moral principle regulating economic justice across humanity.

The Talmud: Legal Instruments to Operationalize the Distinction

While retaining the original Torah distinction that permits interest toward outsiders, the Talmud extends the prohibition within the Jewish community to cover two dimensions simultaneously:

- *Neshekh* (“bite”) — interest extracted at the borrower's expense. This term conveys the idea of *harmful extraction*. Like a bite that wounds, *neshekh* refers to interest that visibly diminishes the borrower's wealth.
- *Tarbit* / *marbit* (“increase”) — this term is more neutral in form and refers to **incremental gain** arising from a loan. It does not emphasize harm but rather the **fact of increase itself**—a surplus accruing to the lender over time.

The rabbis applied the prohibition even to non-monetary exchanges that *resembled* interest. The system recognized that form could disguise substance and sought to block interest not only in its harshest form (*neshekh*), but also in its more subtle, normalized expressions (*tarbit*). However, this prohibition remained restricted to Jews, while retaining the Torah's permissibility of interest toward non-Jews (Bava Metzia 60b–75b).

Despite this expanded prohibition, commercial reality created pressure for workarounds. The most important of these was *heter iska*, which re-characterized a loan as a partnership investment.

Heter Iska (“business permit”)¹⁷

A legal fiction re-characterizing an interest-bearing loan as a partnership investment where the lender is effectively assured a return under the guise of “profit-sharing.” While classical Jewish law prohibits interest between Jews, modern banking operates through legal structures such as *heter iska*, which formally recast loans as partnerships. In substance, however, these arrangements replicate interest-bearing finance. In form, they avoid violating the letter of Torah law.

Whether structured as a loan, a sale, or a partnership, modern bank financing typically involves the creation of new credit at the point of issuance. The form of the contract may vary, but the underlying monetary mechanism remains the same—strikingly similar, in this respect, to Islamic banking practices analyzed in Chapter 2.

Thus the Pentateuch established a tribal trade ethic, and the Talmudic tradition built a fully operational legal system around it—precisely the pattern the Qurʾān critiques in Q 4:160–161 (“*because they took ribā although it had been forbidden to them...*”).

The Qurʾān: Universal, Non-Dualistic Prohibition

Against this backdrop, the Qurʾān stands alone as the only scripture that articulates a **universal, pan-human** prohibition of *ribā*:

- Q 2:275–279 — categorical ban, framing *ribā* as unjust consumption.
- Q 3:130 — historical condemnation of compound, doubling interest.
- Q 4:161 — criticism of earlier communities for taking *ribā*.
- Q 30:39 — *ribā* does not increase with God; only charity does.

¹⁷ *Heter Iska* appears in post-Talmudic halakhic literature as a mechanism to reframe interest-bearing loans as joint ventures. See Menachem Elon, *Jewish Law: History, Sources, Principles*, vol. 1 (Philadelphia: Jewish Publication Society, 1994), 226–231.

Unlike the Pentateuch, the Qurʾān does **not** distinguish between in-group and out-group.

Unlike the New Testament, the Qurʾān provides a **comprehensive economic and moral doctrine**, linking *ribā* to exploitation, asymmetry, false growth, and social corrosion—thereby confirming Aristotle’s intuition in *Politics* that money begetting money is unnatural.

Unlike the Talmudic and Christian traditions, the Qurʾān does not offer or endorse legal fictions to circumvent the prohibition. Just as rabbinic Judaism developed *heter iska* and medieval Christianity developed *damnum emergens* and *lucrum cessans*, modern Muslims have engineered their own legal fictions to legitimize *ribā* that do not comport with the Qurʾān.

Murābaha is structured in a way in which a bank “buys” an asset with credit created *ex nihilo* and immediately resells it to the client at a markup. The client pays over time and the markup is justified as profit on trade, not interest on money.

Economically, however, adhesion contracts ensure there is no real risk transfer to the bank and no productive partnership.

Instead, **price = principal + time-based premium**

This amounts to a disguised interest charge.

In short:

The Qurʾān is the only Abrahamic scripture that presents a coherent, consistent, and architecturally sound universal prohibition of *ribā*, grounded in justice rather than tribal identity or later philosophical and economic accommodations.

Conclusion

The Judeo-Christian scriptural tradition does not present a universal, consistent prohibition of interest. While the Pentateuch restricts interest within the Israelite community, the New Testament contains no explicit ban on lending at interest. Over time, the meaning of *usury* itself shifted—from denoting any return on a loan to signifying only excessive or abusive rates—reflecting a process of moral accommodation rather than new revelation.

Comparative Judeo-Christian Scriptural Background

We are now witnessing a similar pattern play out within Islam and among modern Muslims. The difference is that they are 500 years behind on the conveyor belt compared to Europe when it smuggled usury back in as part of their Enlightenment phase.

In an effort to align with Western economic ideals that privilege pragmatic, material outcomes, the debt-based Islamic banking system has been furnished with religious vocabulary. To import modern interpretations of economics and justify “time preference” for money as a natural and universal principle, the definition of *ribā* has been **bimodally revised**—artificially distinguishing between “interest” and “usury”—to smuggle a prohibited practice back in through the back door under a veil of piety.

The Qur’ān diagnoses this underlying pathology—the desire to conform to material outcomes—clearly:

They know an outward part of the life of this world, but of the Hereafter they are heedless. (Q 30:7)

It prohibits time-rent and centers gain on productivity and justice. Only societies that align with these principles generate real prosperity.

Chapter 5

Socio-Economic Impact of *Ribā*

“O my people: fulfil the measure and the balance with equity, and deprive not men of their possessions, and commit not evil in the earth, working corruption.” — (Q 11:85)

Why *Ribā* Fosters Inflation, Inequality and Social Harm

In earlier chapters, we explained how debt is part of contemporary monetary architecture by birth. We also showed that Islamic banking is anything but Qur’anic. It operates under the same mainstream banking principles, wrapped in Islamic vocabulary and legal fictions similar to those found in the Judeo-Christian tradition. This chapter explains how *ribā* has been institutionalized by making it part of modern educational curricula. Economic theories with opposing views have been constructed to argue over symptoms while leaving the root cause untouched. Descriptive claims about *ribā* are framed as if they were universal moral truths.

Modern *ribā* apologists, influenced by Western economic thought, justify the charging of interest as the “time value of money.” The claim is that borrowing at low interest is non-exploitative and necessary for a complex global economy to function. Inflation and currency depreciation—classic symptoms of the *ribā*-based system itself—are then used as a pretext to further legitimize interest on capital.

If a child is born into a system where the price of shelter, education, and participation has already been shaped by layers of accumulated claims before they even produce, the future is not entered freely — it is entered with debt shackled around its neck. In today’s economic system, the new generation increasingly inherits a structure that expects repayment on obligations they never consented to in the first place.

We examine the lived reality of *ribā* and demonstrate how any amount over and above the principal becomes structurally exploitative over time—regardless of the

economic system. We tackle common misunderstandings by showing how compounding works. Proponents of *ribā* use subjective “what if” risk-based scenarios as justification to create objective, legally enforceable obligations for the borrower.

While in today’s “polite” *ribā* economy leverage can benefit individual transactions, we explain how it introduces harm that is not only cumulative but architectural. The outcomes impact not only society as a whole — especially the vulnerable — but also future generations through the deferment of obligations.

The False Dichotomy of Modern Economic Schools: Deflationary Collapse or Inflationary Delay

Modern economic debate is commonly framed as a contest between competing schools of thought—most notably Austrian Economics on one side and Keynesian economics or Modern Monetary Theory (MMT) on the other, with most other modern schools falling along variations of these two approaches. These schools present themselves as epistemological opposites: one emphasizing non-intervention, market self-correction and liquidation, the other emphasizing intervention, stimulus, and monetary expansion.

Yet beneath these surface disagreements lies a shared structural foundation: both operate within an interest-based debt-money architecture. Their disagreement is not over whether *ribā* structures the economy, but over how to manage the instability *ribā* inevitably produces. Despite their policy disputes, no economic school says interest itself is structurally unjust and must be removed from monetary architecture. The whole modern debate revolves not around the root cause but *symptom management*.

Once money itself is issued as interest-bearing debt, the system acquires a built-in mathematical tension. Loans create principal only, while repayment demands principal plus an additional surplus. That surplus is never created system wide. It must be extracted from other borrowers, refinanced through new debt, or seized through defaults and asset transfers.

This creates a compounding claims structure that grows faster than the real economy’s capacity to generate value.

Interest Compounds — The Real Economy Grows Within Limits

This is the heart of the inevitability:

Debt with interest grows according to this compounding formula:

$$D(t) = D_0(1 + r)^t$$

Real output (GDP/productivity) on the other hand is bounded by:

- Labor
- resources
- energy
- human time

Real economies do not grow exponentially in perpetuity. They exhibit logistic behavior—rapid growth during expansion phases followed by endogenous slowing as physical, demographic, and institutional limits assert themselves. Financial systems based on compound interest, however, assume exponential growth of claims.

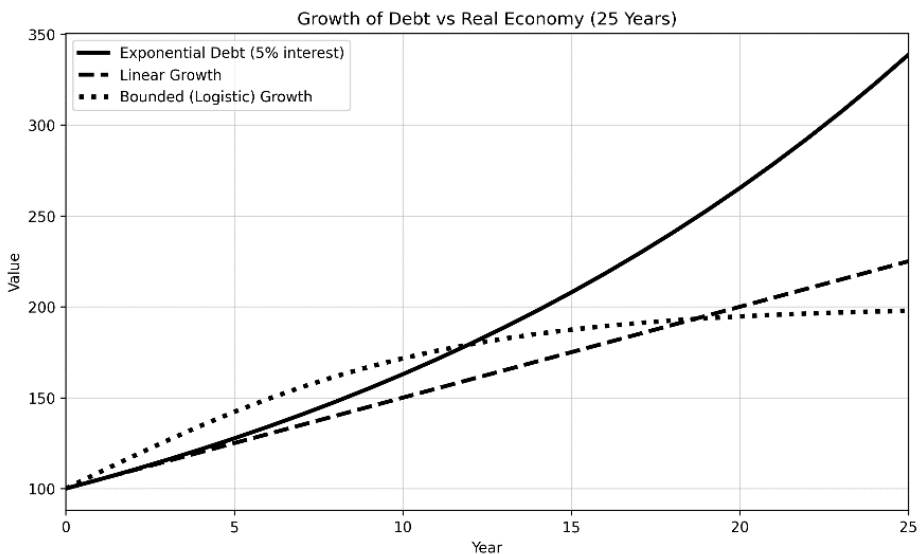


Figure 5.1 Growth of debt compared to linear and logistic growth

As an example,

- Initial amount $D_0 = 100$
- Interest rate $r = 5\%$

- Time steps $t = 0 \rightarrow 25$ years
- Linear growth = +5 units per year
- Logistic-style growth = slowing toward a ceiling ≈ 200 (illustrative of real constraints)

As shown in figure 5.1, compounding ensures that debt claims accelerate over time, while real economic growth encounters binding limits. It is therefore a mathematical certainty that exponential debt growth will eventually outpace real productive capacity.

This mismatch **necessarily** guarantees systemic insolvency over sufficient time horizons—either through inflation or deflation.

The **key insight** is this:

Interest obligations compound exponentially; economic growth remains bounded. We can't compound claims on a world that doesn't compound. A system that demands infinite growth on a finite planet isn't an economy; it is a suicide pact. This is mathematical, not rhetorical.

Productivity does NOT Create the Interest Portion

This is a point most people miss. If banks create principal at, say, a 10% rate of interest:

- \$100 loan created
- \$110 owed

Where does the extra \$10 come from? Productivity creates value and income, but not the money units required to settle expanding monetary claims system-wide. Debt has to be repaid with legal tender, not with widgets produced. Historically, mining of precious metals (gold and silver) to mint money as a means of increasing the money supply could not keep up with compounding debt obligations (Graeber, 2011).

System-wide, it can only come from:

- someone else's earning or new loan
- asset seizure
- defaults

So the system structurally requires a perpetual expansion of new debt just to service old debt as compounding over time makes settling all claims simultaneously an impossibility. This is not a market; it is an **architectural Ponzi scheme**.

From this architecture, only two resolution paths exist.

The Austrian Economics Resolution: Deflationary Purge

Austrian Economics rejects monetary expansion and state intervention. Its libertarian values subscribe to a sound monetary system, historically reliant on gold and silver.

It insists that malinvestment must be liquidated, bad debt cleared, and markets allowed to self-correct (Mises, 1949; Hayek, 1935).

Structurally, this means:

- debt burdens collapse through defaults
- assets transfer to creditors
- credit contracts violently
- economic activity shrinks

This is not a failure of policy. It is the inevitable consequence of allowing an interest-based system to attempt mathematical closure without monetary expansion.

Deflation is simply *ribā* resolving itself through mass insolvency.

The Keynesian/MMT Resolution: Inflationary Postponement

Keynesianism and MMT, which have become the contemporary economic methods of choice for financial alchemists, take the opposite approach. They seek to stabilize the system through:

- monetary expansion
- deficit spending
- debt rollovers
- liquidity injections

This keeps debt from collapsing in the short-term by sacrificing the purchasing power of the masses and continuously creating new money to service old obligations.

Modern Monetary Theory treats sovereign deficit spending and monetary expansion as primary stabilization tools (Keynes, 1936; Kelton, 2020).

Structurally, this means:

- currency dilution
- asset bubbles
- stealth wealth transfer
- rising systemic fragility

Inflation is not accidental. It is the stealth tax required to keep an unpayable debt structure on life support.

Two Strategies — One Broken Architecture

Though politically opposed, both schools operate as crisis-management regimes for the same *ribā*-based system.

Table 5.1: A comparison between Austrian Economics and Keynes/MMT.

Structural Feature	Austrian Economics	Keynes/MMT
Money issued as debt	✓	✓
Interest compounding	✓	✓
Growth required to survive	✓	✓
Inevitable crisis	Deflationary	Inflationary
Structural solution	None	None

As shown in Table 5.1, they differ only in **how collapse is expressed** — not in whether collapse is guaranteed. Austrians respond to crises by advocating for letting bad debt collapse, Keynesians print their way out of it, and the Monetarist policy response is to tweak rules. Regardless of the outcome, the financial alchemists profit under both inflation and deflation.

Structural Conclusion

The debate between Austrian deflation and Keynesian/MMT inflation is therefore a false dichotomy. It is not a contest between truth and error, but between two methods of delaying or administering the same systemic breakdown.

Ribā does not merely cause periodic crises. It makes permanent equilibrium impossible.

Either:

- debt collapses faster than money can expand, or
- money expands faster than value can be produced

Both paths end in social harm, wealth concentration, and systemic reset.

The *ribā* system may work locally or temporarily, but its internal structure ensures instability over longer horizons. This is why every interest-based monetary civilization in history has ultimately transferred wealth upward to the few and leaving debt-servitude for the many—regardless of ideology, policy sophistication, or technological advancement.

Ribā Framed as Time Value for Money

The unifying mechanism beneath all economic schools is the same: guaranteed surplus on money, framed as the “time value of money.”

In the past, humans relied on barter systems to transact. The individual toiled, often under conditions of uncertainty, to produce something of value. When money was introduced to improve exchange, it served three basic functions:

- a measurement of value
- a store of value
- a means to transfer value

Money was an abstraction that enabled coordination. At this stage, it was understood as a claim on future goods. Over time, people began to desire money for its own sake, which encouraged hoarding behavior. The psychology then shifted from “money represents value” to “money is value and produces value.” By giving it to someone for a certain period and receiving compensation for it, money became a good in itself. Multiple periods became multiple compensations, and each unpaid compensation became part of a new principal. Claims on value themselves generated new claims indefinitely.

This marked the normalization of compounding—a recursive system in which time was divided into periods, and by capitalizing on unpaid claims, money itself

became a productive asset. Instead of producing value or taking risk to earn more money, the idea that “money begets money” emerged through charging more money for loaning out money.

What appears intuitive to the modern mind is the lender of an abstraction called money having a contractual right to extract surplus from the borrower purely for waiting, under various pretexts. A functional abstraction that once served the neutral purpose of measuring, storing, and transferring value has been transformed into a good and priced. That price is the rate of interest.

Today, the justification of “time value of money” is often layered with appeals to risk, opportunity cost, or capital productivity. However, these do not resolve the core issues:

- **Returns are fixed and enforceable even when risk is minimized through collateralized lending.** This reduces or transfers risk rather than sharing it. The lender’s return remains fixed, while the borrower absorbs the variability of outcomes. This shifts the role of capital from productive participation to secured extraction.
- **Outcomes are uncertain and the economy in aggregate cannot outpace compounding.** This creates fixed, escalating claims over long time horizons, while borrowers’ ability to settle debts becomes increasingly difficult intergenerationally. The system enforces the former regardless of the latter.
- **As credit cycles peak, debt grows faster than underlying output.** This is a pattern visible across many modern economies, indicating increasing reliance on leverage to sustain growth.

Capital income must be justified by:

- risk-sharing, or
- productive participation

This is observed in domains of genuine productivity such as innovation. They often rely on risk-sharing capital structures (e.g., venture funding), where returns are contingent on success rather than guaranteed in advance. This demonstrates that capital can earn high returns without fixed claims, provided it participates in risk.

Instead, in interest-based debt systems, time is converted into a claim on other people's output. But time has duration, not value. Value comes from transformation, risk, or exchange—not from the mere passage of time. Opportunity cost is the phantom of a trade not made; charging for a better “opportunity” that never materializes is akin to charging for a ghost. Once the premise of monetized time preference — that people generally prefer a good now over the same good later — as well as risk, opportunity cost, and productivity are questioned, the epistemic structure built to justify an interest-based system loses its foundation.

This is precisely what the Qur'ān identifies as *ribā*: increase without value creation

- extraction without shared risk
- wealth gained through obligation rather than exchange

Behind this abstraction is a lived reality: families whose payments barely touch the principal, small businesses whose earnings are consumed before they mature, and later generations in the credit cycle whose future labor is pre-sold into bondage, their most productive years already harvested by the compounding claims of the past. What appears as a neutral pricing of time is, in practice, a continuous claim on human effort and possibility.

Once *ribā* becomes the foundation of money itself, systemic instability ceases to be a policy failure and becomes a structural inevitability over long horizons. Economic schools then arise not to question architecture, but to manage its consequences.

The key insight is this: the system enforces fixed, compounding claims on living men and women who participate in a variable and uncertain productive base, without requiring corresponding participation in risk or value creation.

Ribā Framed as “Natural” Rate of Interest

All major economic schools treat interest as a necessary feature of the system, not a variable to be questioned. Their disagreements begin only after accepting that premise. *Ribā* is framed as a “natural” rate of interest as if it were some kind of universal, morally neutral benchmark.

While each school defines what “natural” means in its own way, the fundamental question should be *natural according to what?* If the system is designed to include *ribā*, then the output will reflect that design, not some neutral truth.

This is how each school defines the “natural” rate:

- **Neoclassical / Mainstream:** the rate that balances savings and investment and keeps inflation stable
- **Keynesian / New Keynesian:** the rate consistent with full employment and stable inflation
- **Austrian:** the rate that reflects true time preference without central bank distortion
- **MMT / Post-Keynesian:** interest is simply a **policy variable** not derived naturally

No school agrees on what “natural” means. In reality, the “natural” rate of interest is a statistical ghost—a model-dependent, unobservable variable, which is contingent on policy and used to retroactively justify the extraction it facilitates. Change the assumptions and we get a different number, which confirms that the claim of interest rate originating organically based on market conditions is anything but axiomatic. **It is not a law of physics; it is a secular myth used to dress a structural choice in the clothing of natural law.**

The practical history of benchmark interest rates further undermines the notion that interest is “natural.” LIBOR (London Interbank Offered Rate), once one of the world’s primary reference rates, was not discovered through neutral market law but was based on self-reported estimates from major banks. The system was later exposed as vulnerable to widespread manipulation and collusion, leading to one of the largest financial scandals in modern history with fines amounting to billions of dollars (Hou & Skeie 2014).

LIBOR was eventually phased out and replaced by SOFR (Secured Overnight Financing Rate), a benchmark based on actual overnight transactions (ARRC / Federal Reserve 2021). Yet this transition itself reveals the deeper issue: if interest rates were truly “natural,” they would not require perpetual life support, continual

institutional redesign, regulatory intervention, and administrative recalibration. In practice, benchmark rates even after replacement from LIBOR to SOFR are still constructed, governed, and influenced by financial institutions, central banks, and policy structures. **The transition from the fraudulent, bank-colluded LIBOR to the federally governed SOFR proves that the system does not “measure” a natural rate; it manufactures one.** What is often presented as a neutral market truth is, in reality, a managed output of the very system it claims merely to measure.

Is some Inflation really good?

Keynesians claim that there exists a rate of interest that keeps inflation stable and that a “bit” of inflation is good. This is because inflation:

- **Encourages spending:** money loses value → people spend/invest instead of holding
- **Eases debt burdens:** future repayments are made in “cheaper” money
- **Avoids deflation:** falling prices → people delay spending → slowdown
- **Gives policy flexibility:** central banks can adjust rates above zero

Every one of those reasons assumes the system must be sustained as designed. So inflation simply becomes a tool to keep the system functioning. Making future repayments in “debased” currency is effectively a **slow-motion default** that honors the nominal contract while violating the real value.

The reality is that no rate can truly stabilize the system in the long-term if it has compounding claims in a bounded economy. So the only criteria according to which inflation is good is that **it is good relative to the goals of a debt-based system** and those goals are:

- continuous borrowing
- manageable debt servicing
- avoidance of collapse

Hence, a bit of inflation is not just rising prices—it is the mechanism that allows an expanding debt structure to remain serviceable without immediate collapse.

The **key insight** is this:

The existence of a “natural rate” across all schools is not proof of its reality—it is proof of a shared assumption.

Money as Measure vs Money as Good

As alluded to in the previous section, all economic schools understand money in two incompatible ways:

- **Money as a measure**
- **Money as a good (commodity / asset)**

As a measure it acts like a ruler or scale used to **express relative prices** which basically means it should be **neutral**, not distort what it measures. In this role, money is not supposed to be a commodity. However, when money can be lent, hoarded, traded, has a “price” (interest rate), generates returns, then money is effectively treated like capital. This is a contradictory position:

- **If money is a measure → it must remain stable and neutral**
- **If money is a good → it can be created, traded, and priced**

This dual treatment is not incidental. Interest-bearing lending requires money to be priced and to generate returns. In order for *ribā* to operate, money must be treated as a good, even though it is simultaneously used as a measuring device. The system incorporates interest in the price structure while expecting the measuring unit to remain neutral. **This is a first-order coherence failure.** The system attempts to measure value using a unit that is itself fluctuating as an asset. This transformation does not occur in abstraction—it is driven by debt. Once money is lent at interest, it is assigned a price and made to grow through time, converting it from a neutral measure into a compounding claim on future value.

As explained in Chapter 1, what functions as money today is debt-issued credit. Once credit becomes the unit of measurement that can be expanded *ex nihilo*, its supply increases which leads to purchasing power changes. When relative prices shift, economists complain that “price signals are distorted.” But the distortion is self-inflicted. They permit *ribā*, which “stretches” the measuring stick to suit those who designed the system, then feign surprise when the measurement of value no longer reflect reality.

To be fair, Austrian economists do recognize that credit expansion distorts price signals and blame central banks / credit expansion, yet they still treat money in their own monetary system as something that can be lent for interest while defending time preference monetization. Their system remains structurally blind to the principle that debt distorts price as a measuring device. They identify the distortion but retain the mechanism that depends on money as a yield-bearing good (money treated as a compounding asset).

The **key insight** is this: **economic systems hold a contradictory position—treating money as a unit of measurement while simultaneously treating it as a good that can be priced to earn interest, undermining its role as a stable reference for value.**

Why “polite” *Ribā* is more dangerous than obvious *Ribā*

This section reveals the architectural unfolding of “polite” *ribā* i.e. a system that justifies a “low” interest rate on the claim that time has value — money is worth more today than in the future. Therefore, the modern economic system and society in general make the following assumptions about credit masquerading as money:

1. Ownership of capital gives you the right to earn interest without participating in any meaningful risk or delivering value and extract a guaranteed surplus purely for waiting.
2. Loans labeled as “productive” are assumed to lead to net economic growth and are beneficial to society.
3. A low interest environment is required for the modern economy to function, and that capital must be compensated for time value regardless of actual economic outcome.
4. The system assumes future growth will always be sufficient to service expanding claims.
5. Government is treated as a benevolent intermediary—a collective fiction that justifies social welfare while disregarding the debt-servitude transferred to

society to finance it. Social welfare is justified while disregarding the debt burden transferred to society to finance it.

6. If leverage works for me in a low interest environment, it works at scale.
7. If I have paid off all my loans, then I do not owe any debt.
8. Debt is treated as neutral—as if expanding it does not change the structure of society. Since inflation is natural rather than a wealth redistribution and extraction mechanism, I am justified in collecting interest.
9. Widows, retirees and savers need a steady income to survive and that requires investment in low-risk government bonds or money market funds.
10. The system can persist indefinitely without periodic reset or collapse.

The unintended consequences of these assumptions are rarely stated explicitly. These assumptions are embedded in the modern financial imagination. When taken together, they reveal that “polite” *ribā* is not merely a financial tool, but a system built on hidden premises about entitlement, growth, consent, and risk.

Each polite *ribā* contract looks harmless in isolation. The borrower gets funds now and the creditor gets principal plus surplus later. Both consent, since the rate looks modest; but when this rule is generalized across society, a pattern emerges:

- households borrow for homes, schooling, emergencies
- firms borrow for expansion and liquidity
- governments borrow for deficits and rollover
- financial institutions sit at the point where claims converge

So the whole order turns into a system where **the many owe fixed claims to the few, across time**. That becomes the game.

At the system level, each new loan does three things at once:

- creates purchasing power now
- creates a larger future claim
- binds future income streams to debt service

So short-term, society feels higher demand and rising asset prices. There is an illusion of apparent prosperity because it becomes easier to access goods and services. Unemployment is low as economic growth relies on continuous credit expansion.

But beneath that appearance, the structure begins to change as more income is pre-committed, more taxes are needed to service sovereign debt, more households are price-takers in asset markets, and more wealth is tied to creditor claims rather than productive participation. The actors adapt to the system by deferring obligations into the future through refinancing, rollovers, and new borrowing.

What appears as “polite” *ribā* in individual contracts becomes, at scale, a system of upward-flowing claims. Each loan creates present purchasing power but binds future income to principal plus surplus. When households, firms, and states all operate under this rule, wealth tends to flow toward those who provide credit, hold collateral, and enjoy legal priority, while the wider society services the structure through wages, taxes, inflation, rollovers, probate, and distressed transfers. The notion that “if I have paid off all my loans, then I do not owe any debt” is a delusion that ignores the systemic ‘debt-tax’ embedded in every price, tax bill, and eroded savings account. In repeated play across generations, the advantage lies not with the individual debtor who occasionally prospers, but with the creditor class that survives as a continuing institution.

In history, debt cycles usually follow a 70-to-100-year long generational unfolding.

Stage 1: Credit expansion

Borrowing increases demand and asset prices. The present is made larger by borrowing from the future.

Stage 2: Asset repricing

The same goods now require more money to access. Houses, land, education, and basic entry points become more expensive as inflation rears its ugly head.

Stage 3: Debt dependence

Participation in society is conditioned on taking on debt. New entrants must borrow more to access what previous entrants accessed more cheaply. Prosperity and social standing are tied to taking on more debt for accumulating more worldly possessions.

Stage 4: Claim concentration

Income streams accumulate in the hands of those who own financial claims, not those who produce goods. Interest streams, fees, collateral rights, and bond payments flow upward to creditors. There is financialization of the economy.

Stage 5: Social servicing

Over time, the burden spreads through taxes, inflation, rollovers, probate, and distressed sales, all of which keep the claim structure alive. Large creditors have state protection.

Stage 6: Consolidation

Crises eliminate weaker debtors and smaller institutions; larger creditors absorb more in a wealth transfer closure event. The system resets—but not to equality. It resets at a higher level of concentration and as a more efficient harvesting machine.

Numerous debt jubilees in history are a testament to these debt cycles as compounding effects eventually came home to roost. Farmers lost land, families fell into bondage and there was a complete breakdown of social order. Without periodic cancellation, the structure would devour the society that sustained it.

Common Myths

What about savers, widows and retirees? The reality is that interest income is paid from borrowers' cash flows, government bonds and money market funds—not from some magical property of money “creating itself.” At scale, maintaining these income streams requires continual credit expansion or redistribution. Interest income is offset by inflation due to credit expansion that acts as a stealth tax and erodes the principal amounts invested over time. The government relies on creative means to understate CPI (Consumer Price Index) to perpetuate the illusion that the real rate of interest¹⁸ is positive. Over time, expenses outpace retirement benefits indexed to an underreported rate of inflation, lowering their standard of living. **In an honest monetary architecture, the principal preserves its value; in a *ribā*-based**

¹⁸ **Real rate of interest:** the interest you earn after accounting for inflation—showing whether your purchasing power increases or decreases over time.

system, the act of credit expansion is causal to inflation—a war that devalues the principal as a consequence of the initial injustice.

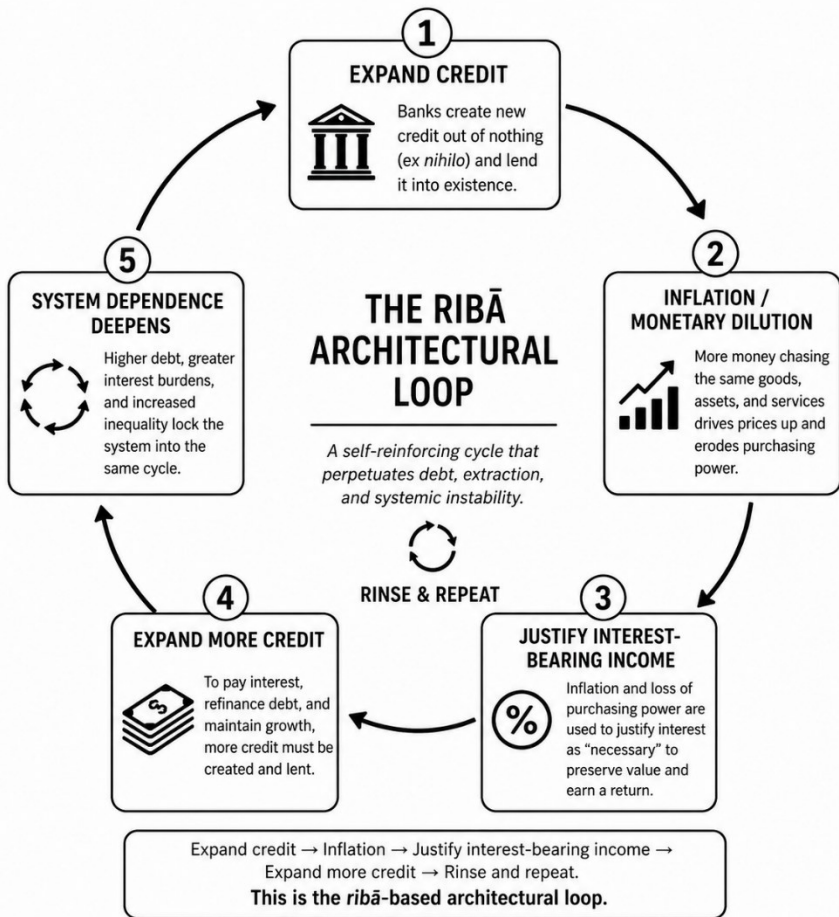


Figure 5.2: The Ribā Architectural Loop is a self-amplifying spiral of extraction from which there is no 'polite' exit.

As illustrated in Figure 5.2, this is akin to the system first breaking the leg through credit expansion and then selling the crutch through interest-bearing income. An ordinary individual who is not financially savvy observes inflationary outcomes such as increases in prices of goods and services but cannot trace the underlying causal chain.

A common perception is that mortgages are good because they bring prosperity and allow people to build equity instead of renting. This confuses private success with public justice. A mortgage creates a money balance equal to the principal but leads to a larger claim than the sum created. The surplus must be sourced from the economy's flows or sustained by further credit. At the level of one borrower, repayment is possible; at the level of the whole, stability depends on continued expansion or redistribution. Society as a whole pays the price, as expanding credit inflates asset prices. Compounding imposes a growth rule on claims that reality is not obliged to meet, so the system periodically resolves the gap through credit expansion, default, or transfer. By turning houses into "speculative financial assets" backed by *ex nihilo* credit, society makes shelter unaffordable for later generations.

A state-sponsored welfare system mobilizes compassion for political expediency and perpetuates the practice of *ribā* to sustain social programs. Offsetting these benefits through stealth taxation—a mechanism the common man cannot comprehend—is antithetical to Qur'ānic injunctions. No Western government today can sustain a welfare system without running budget deficits and perpetually borrowing to close the gap. Many Muslims point to Western nations embodying the Islamic ideals of welfare as if they exist in a vacuum. They remain completely oblivious to their *ribā* side of the equation. The current generation lives off the fruits and labor of future generations who are left to bear the sovereign debt burden. This is because when the state borrows, it does not pledge its own labor. It pledges **the future taxable capacity of the population or collateralizes the natural resources of the country**. That means citizens yet unborn are folded into the debt structure before they breathe. So sovereign debt turns *ribā* from a private matter into a civilizational one. This is how the burden spreads socially and across generations.

Why Global Debt Outstanding is *Ribā*

According to the *Institute of International Finance* report, as of the third quarter of 2025, the total global debt today stands at close to ~\$345–\$346 trillion (Institute of International Finance [IIF], 2025). This includes government, household, corporate,

and financial sector debt worldwide. This figure translates to **around 310% of global GDP**, reflecting continued borrowing by governments, corporations, households, and financial institutions. This figure illustrates how pervasive debt has become across public, private, and financial sectors.

As opposed to the total global debt, the broad money supply, a term we covered in Chapter 1 of this book, stands at roughly \$140 trillion USD. In simple terms, **Broad money** = all money held by the public (cash + bank deposits + similar near-money).

Even in the best-case fantasy scenario, if every household, company, and government hands over **every dollar of broad money** currently in circulation to the creditors (mostly private banks), we still fall short by about \$200 trillion! The point is not that debt is not meant to be repaid simultaneously but that the system cannot function without continual credit expansion. This is not a “problem” policymakers forgot to fix.

It is **how the system is designed**.

Here is the reality and the core structural fact:

- Debt is created with interest
- Money is created as principal only

The interest portion:

- is not created upfront,
- must be competed for,
- forces refinancing, defaults, inflation, or expansion.

So mathematically:

The system structurally incentivizes perpetual debt expansion or risks total collapse.

Mainstream apologists often attempt to dismiss this mathematical gap by invoking the “**Velocity of Money**” or the “**Intermediation Myth**.” They argue that money is cyclical—that a bank takes interest from a borrower and immediately “recycles” it into the economy by paying staff, suppliers, and shareholders, who then spend it back into the hands of other debtors.

This is a hollow defense. The case is much simpler: when a dollar is used to pay down a principal, that dollar is **incinerated** (extinguished) from the ledger —**removed from the 'velocity' pool forever**.

The mainstream argument also ignores the structural drain of compounding. In a system where overwhelming majority of money is born as debt-issued credit, the recycling of interest is never a 1:1 replacement. It is a **leaky bucket** where the compounding interest owed always outpaces the money the economy has available to pay it. The “missing” interest is eventually sourced through further credit expansion—essentially using a new fire to put out an old one. This isn’t “grease” in the gears; it is a **parasitic loop** that requires the constant creation of new debtors to prevent the system-wide default of the old ones.

This demonstrates that there is no steady state; either the system must contract as debts are settled or continue issuing more credit. Because total claims keep expanding, the system relies on:

- refinancing / rollovers
- inflation (stealth tax)
- currency debasement
- periodic crises (hyperinflation or deflation)
- selective bailouts
- debt jubilees (historically)

Each cycle deepens the obligation. Prosperity in the present is not free—it is borrowed from the future. And when the future arrives, it does not arrive empty. It comes with financial serfdom.

This pattern vindicates the Qur’ānic injunction on *ribā* in verse Q 3:130 as not just “interest” but a structural extraction mechanism doubled and tripled that the system *cannot* resolve justly because claims grow faster than the system’s capacity to settle them without continuous expansion.

Inflation through debt-money expansion

As discussed above, every new loan creates new broad money. Unless matched by real output growth, this leads to nominal price inflation, particularly in assets. The

Bank of England confirms that modern commercial banks create money primarily through lending; loans create deposits rather than banks lending out pre-existing customer deposits or their own capital (McLeay et al., 2014). Asset price inflation then reduces the purchasing power of savings and incomes, especially harming those with fixed incomes or who are net savers—i.e., many of the middle/working classes. Thus, when the bank creates money *ex nihilo* as a result of a home mortgage for example, it acts as a stealth tax on society benefiting those who already own assets and receive money first. Inflation transfers purchasing power without consent who took no part in the voluntary exchange between the bank and the borrower, violating the Qur'anic principle of '*do not wrong and do not be wronged*' (Q 2:279).

Wealth concentration and creditor gain

When money supply expands via debt, the creditor earns interest (increase) while the debtor pays. It also leads to what is called the *Cantillon Effect*—an economic concept which states that an increase in money supply has an asymmetric effect on society based on who touches it first (Cantillon, 1931). Its effect hinges on a lethal time lag between the injection of new money and the subsequent rise in prices. The earlier recipients of new money get to spend it at the original, lower prices while the late recipients receive them as new money that trickles down through wages or broad circulation when prices of goods have already been bid up.

Thus, this leads to a silent and upward wealth flow to banks/creditors. Meanwhile, existing holders of money lose through inflation and due to a time lag effect on the creation of new money. *Ribā* therefore functions as a *priority-access privilege* to newly created money, effectively tax-farming the purchasing power of the masses.

Debt servitude and real-value extraction

Debt repayment means future labor and production must service past borrowing plus interest. In highly indebted economies, a significant share of income is diverted to servicing debt rather than productive investment. By late 2025, major Western economies collectively carried tens of trillions in household obligations, with U.S. household debt alone reaching **\$18.8 trillion** and revolving credit card balances at **\$1.3**

trillion.¹⁹ Total Canadian credit market debt surpassed **\$3.2 trillion**, maintaining a household debt-to-income ratio of **177%**—the highest in the G7.²⁰ Its credit card balances are significant and rising with nearly half of cardholders carrying balances month-to-month.

Table 5.2: The Extraction Burden per Household (Approx. Q4 2025)²¹

Nation	Average Total Debt per Household	Debt as % of Disposable Income	Avg. Credit Card Balance (APR:19%-26%)
Canada	~\$184,000 CAD	~177.2%	~\$4,763 CAD
USA	~\$154,152 USD	~137%	~\$10,200 USD
UK	~£66,892 GBP	~117.1%	~£1,900 GBP
Australia	~\$320,000 AUD	~211%	~\$7,400 AUD

These figures, shown in Table 5.2, demonstrate that consumer credit in major Western economies is not peripheral but structurally embedded within the economic architecture, normalizing debt dependence through compounding obligations and behavioral incentives. With average **APRs hovering between 20% and 26%**, the interest alone functions as a secondary, private tax on survival. In countries like

¹⁹ Federal Reserve Bank of New York, *Quarterly Report on Household Debt and Credit, 2025: Q4*, Center for Microeconomic Data (New York: Federal Reserve Bank of New York, February 2026).

²⁰ Statistics Canada, "National Balance Sheet and Financial Flow Accounts, Fourth Quarter 2025," released March 16, 2026.

²¹ Compiled from *Federal Reserve Bank of New York (2026)*; *Statistics Canada (2026)*; *ABS (2026)*; and *NDH Financial, "UK Debt Statistics for 2025," January 2026*.

Canada and Australia, the “average” household effectively owes nearly double their annual take-home pay before they can afford a single bag of groceries.²²

High-interest revolving debt particularly targets lower-income households. While total national net worth is technically positive because the wealthiest 20% hold 70% of all financial assets, the “extraction” is most visible at the bottom of the spectrum, where what first appears as convenience at the transactional level functions later as extraction at the systemic level for financially unsophisticated consumers.

As governments, due to political expediency, continue financing their budget deficits with more debt by refusing to cut structural bloat, this burden compounds. This process fuels inflationary monetary expansion, currency debasement, and indirect taxation through stealth mechanisms, which extracts real value from the borrower’s future efforts—a profound injustice that impacts later generations as well—those who never benefited from such loans yet end up holding the bag for excesses committed by earlier generations.

Qur’ān 3:130, which explicitly condemns the doubling and tripling of *ribā*, is clearly vindicated by the contemporary reality of exponentially expanding civilizational debt burdens even in a “low” interest rate climate. Together, the *ribā* verses preempt these morally non-neutral injustices by prohibiting interest at the architectural level. As explained in Chapter 3, this prohibition encompasses all guaranteed surplus extracted through loan structures, whether institutional, consumer, or sovereign.

Consumer credit, Behavioral Traps and Compounding Obligations

Credit cards, auto loans, and micro-loans embed high-interest, short-term debt structures that are both financially and morally destabilizing, particularly for low-income households. High interest spreads, penalty fees, and compounding obligations—combined with minimal marginal risk to the lender—place a disproportionate burden on the borrower.

²² Australian Bureau of Statistics (ABS), *Australian National Accounts: Finance and Wealth, December 2025*, as cited in API Magazine, February 26, 2026.

Each transaction may appear voluntary and harmless in isolation, yet in aggregate these instruments function systemically: defaults, refinancing, and inflation socialize the cost across society. Credit card companies tempt customers with points and cash-back incentives, passing these costs on to businesses, which raise prices and pass them back to customers—completing the loop.

As shown earlier in Chapter 1, the actual operational cost to banks of providing it is negligible compared to the value extracted through interest, fees, and compounding obligations. This so-called economic “grease” in reality functions as systemic grit to maintain a state of permanent indebtedness.

Global Impact of Debt-Money Creation

The practical consequences of this extractive wealth architecture are evident in historical and contemporary examples:

1. **Perpetual Debt through “Financial Aid” (20th-21st Century)**

International banks, often in collaboration with Western governments, have used “financial aid” as a euphemism to keep developing countries in a state of perpetual debt, ensuring economic control and resource extraction. John Perkins, in *Confessions of an Economic Hitman*, exposes how IMF/World Bank conditional lending and private banking syndicates often locked countries into long-term debt with stringent conditions that prioritize Western interests (Perkins, 2004). Student loans, modern “development loans” and financial aid programs are among the clearest real-world confirmations of Q 30:39: *ribā* given under the illusion of increasing people’s wealth yet producing no real growth and instead extracting it.

2. **“Quantitative Easing” for Bank Bailouts (2008-Present)**

Following the 2008 financial crisis, central banks, particularly the U.S. Federal Reserve, implemented “quantitative easing”—a euphemism for creating vast amounts of credit to bail out “too big to fail” banks. This policy injected trillions of dollars into the financial system, prioritizing corporate interests while ordinary citizens faced foreclosures and unemployment (Piketty, 2014). These excesses gave rise to the bitcoin phenomenon; a form of private money created in response to these financial system excesses. Regardless of its origins and long-term viability, it

reintroduces the notion of a fixed electronic money supply, designed to be immune from discretionary expansion. The present system asymmetrically benefits the private banking sector which funds government excesses through debt.

3. **Government Stimulus as “Socialism” to Enrich Banks (2020-Present)**

In response to economic crises, such as the COVID-19 pandemic, governments implemented stimulus packages framed as “socialist” policies to provide financial relief to the masses (Stiglitz, 2020). In reality, it was a stealth bailout of the financial elite, paid for by everyone else through asset inflation and wage stagnation, further concentrating wealth among financial elites. For example, the U.S. CARES Act of 2020) allocated billions to corporations and banks under the guise of public welfare, while direct aid to individuals was minimal (Reich, 2020). The *Cantillon Effect* was on full display, as citizens worldwide experienced rising everyday prices in the years that followed—revealing the structural exploitation embedded in a credit-based monetary system lacking effective checks and balances.

4. **Perpetual Wars (20th-21st Century)**

Central banks such as the U.S. Federal Reserve create money through the expansion of debt, enabling governments to finance wars without immediate fiscal accountability. For instance, the **Iraq War (2003)** was largely financed through borrowing, adding trillions to U.S. national debt—converting the blood of the battlefield into the interest-bearing assets of the boardroom, an outcome consistent with realist priorities of power over morality. The same dynamic is visible in the **Ukraine war**, where NATO nations, including the U.S., Canada, and Europe, have funded conflict through credit expansion. This has fueled inflation and currency debasement while enriching defense contractors and financial elites. Canada’s rising debt and inflation illustrate how **debt-financed warfare transfers costs to citizens**, eroding savings and purchasing power. Such policies replicate the injustice the Qur’an attributes to covenantal breach — empowering a global military-industrial complex while burdening the weak.

Qur'ānic Anchoring

The Qur'ān's warning against *ribā* is therefore not a moral abstraction but a structural diagnosis:

- *ribā* appears as growth
- *ribā* produces injustice
- *ribā* culminates in destruction

“God obliterates ribā and causes charity to grow.” (Q 2:276)

False increase collapses. Real value endures.

This is why the Qur'ān cuts the rule off at its root — *“you may have your principal”* (Q 2:279) — because what looks fair in one transaction becomes *“doubled and multiplied”* (Q 3:130) as a social order. Those given knowledge do not track immediate material gains because they understand that increase through people's wealth is not real increase (Q 30:39). They instead privilege God's reward in the hereafter over polite *ribā* by exercising patience and tracking the truth at the system level over time (Q 28:76–83). For societies, the beautification of wrongdoing is itself part of the test. God, who grants prosperity, can also replace it with hardship so that they may humble themselves (Q 6:42–43).

To summarize, a credit order built on *ribā* does not fail at the point of contract. It unfolds over generations, turning access into dependence, dependence into obligation, and obligation into concentration. When the burden becomes too great, societies either reset the system — or are broken by it. A low, reasonable rate is sustained by a chain of unstated assumptions: that time has inherent value, money is neutral, growth is guaranteed, consent is sufficient, risk is shared, information is symmetrical, and the future will always bear the burden. Remove any one of these, and the justification for “polite” *ribā* collapses.

Conclusion

Calling a mosquito a parasite after explaining how it feeds on blood isn't polemics—it's behavioral identification. *Ribā* is not merely unjust—it is mathematically incompatible with a stable civilization. This chapter shows that the

rate is irrelevant if the underlying architecture is predatory. A low interest rate is not morally neutral, because it initiates a spiral that can never stabilize: the interest portion is never created. The apologist claim of interest portion being settled with other money flowing through what is often described as a “complex global economy” is an attempt to obscure the simple fact that the system only works if it keeps growing, rolling over, or redistributing claims—it cannot settle itself at the aggregate level. Those who control the monetary system today — the private banks — ensure that debts—including sovereign debts ultimately serviced through taxation can only be settled in the currency they create. By design, the interest part is never created. Thus, what collapses under *ribā* is not morality alone, but mathematics itself.

Modern economic theories treat money as a measurement device and a coordination tool yet also treat it as a yield-bearing asset that can “breed” more money. This is a category violation because it renders money unsuitable as both a medium of exchange and a measure of value. Money has a proper function, and interest contradicts that function. A system that violates the proper function of its core unit (money) cannot remain stable over time.

Chapter 3 explained the word *bayʿ* in Q 2:275, which refers to trade in which real value is exchanged. In the modern Muslim imagination, eager to modernize and achieve pragmatic outcomes, banking is increasingly framed as a form of trade on the assumption that financial services constitute real value creation. Likewise, Q 3:130 is often interpreted to imply that *ribā* refers only to excessive or multiplied usury rather than interest itself. Using inflation to justify interest-bearing income creates a perpetual cycle in which the system creates the disease through debt-based expansion and then offers the medicine of interest-bearing income by creating more credit.

This chapter has demonstrated that the impacts of “polite” *ribā* are equally devastating, even though they may not be visible at the individual level.

While productivity does create value, in any debt-based monetary system where interest is baked into principal creation, that productivity does not create the money units required to discharge debt obligations. The only two ways the system can survive are through deflationary collapse or continual injection of new debt. The latter is slow

violence—the same extraction scheme observed since the time of Babylon, now amortized over time and obscured by inflation, abstraction, and complexity. All crisis events emanating from this *ribā*-based system are not “mistakes” but closure events draining wealth from society toward financial alchemists.

In a *ribā*-less system, money is not constantly expanded, and productivity gains are not absorbed by debt servicing. Increased output pushes prices down, and real wages rise without inflation, which acts as a stealth tax on labor. When capital partners with entrepreneurial spirit, shares both upside and downside, and earns from value creation rather than time rent, wealth circulates across society—not just to a few who understand how to game the system. This Qur’ānic abundance model in a *ribā*-less system is what motivates the capstone chapter.

Chapter 6

Qur'ānic Coherence with Lived Reality

The unexamined life is not worth living. — Plato

Introduction

Proponents of modern economics, and those infatuated with the idea of progress and modernity, have come to believe the current system of debt-based money is required to keep the modern economic engine running. Humanity seems to have exchanged certain higher ideals, once considered sacred, for speed and efficiency, assuming the “grit” of debt is actually the “grease” of progress, and in doing so can no longer come to terms with what Aristotle intuitively understood: that *money cannot beget money*—compounded and risk-free—without providing any productive value, regardless of the waiting period. This chapter shows why there is a better way.

Plato's Allegory of the Cave comes from Book VII of *The Republic* (trans. Bloom, 1991), where he uses a vivid story to explain the human journey of awakening — how human beings move from illusion to truth. The prisoners are chained to a compounding obligation, facing a wall, and only see shadows cast by objects behind them, assuming, “*This is reality.*”

The allegory teaches that humans naturally live in illusion, mistake consensus for truth, resist awakening, and only through painful reflection can reach reality. Education is not filling minds with facts — it is turning the inner self toward reality — in other words, truth. The allegory reveals that proximity to truth is often inversely correlated with majority consensus.

Yet while Plato powerfully illustrates awakening from deception, he leaves unresolved the problem of sustained orientation — how the seeker continually distinguishes deeper reality from new, more convincing shadows. Escape from one cave could be an entry into another with more sophisticated deception.

This chapter applies the CCC framework, which we developed elsewhere, to this missing navigational architecture through coherence, correspondence, and calibration, and tests it against the Qur'ānic principle of *ribā* to see if the verses explain reality better than other economic theories.

Qur'ānic Coherence-Correspondence-Calibration (CCC) framework

This section is not an appeal to theology. It assumes the text itself is a book of knowledge which, when correctly applied, matches lived experience more closely than conventional systems.

The Qur'ān's claim is not merely that it is a message that contains truth; it is a *mīzān*, or balance—an instrument for measuring truth. It explicitly defines this calibration function in the following verse:

“And We sent down with them the Book (al-kitāb) and the balance (al-mīzān) so that humanity may uphold justice” (Q 57:25)

Al-kitāb (The book), therefore, reveals the architecture of divine order for all mankind. It is the framework through which the calibrated balance of *al-mīzān* manifests in language, law, and guidance.

“And He set up the balance, That you transgress not in the balance; And uphold the weight with equity, and cause not loss to the balance.” (Q 55:7-9)

When God's moral laws are transgressed, there are consequences as reality pushes back.

When human judgment follows *ahwā'* (desires) rather than truth (Q 30:29), the detrimental effects of debt-based illusory prosperity may not materialize in the short-term but result in long-term civilizational collapse.

Humanity therefore requires a coherent operating manual to navigate the moral, intellectual, and existential dimensions of life.

“A Book whose verses have been perfected and then detailed, from One who is Wise and All-Aware.” (Q 11:1)

The Architecture of Debt-Money and Interest

It must also be internally coherent so that it can be trusted by the rational mind as a consistent and dependable source of guidance.

“Will they not reflect upon the Qur’ān? If it were from other than God, they would have found in it much contradiction.” (Q 4:82)

These verses define coherence as the internal verification axis of revelation: truth must be free from contradiction. If that claim is true, Qur’anic principles should match lived reality better than other man-made anthropocentric systems.

Table 6.1: The Qur’anic Coherence-Correspondence-Calibration (CCC) framework

Level	CCC Methodology	Function / Purpose
Coherence Fit (Truth of Structure) (Logical Unity)	The Qur’ān’s self-consistency and structural precision establish its divine origin through internal logic and cross-referential harmony.	Establishes the authenticity and logical integrity of revelation.
Correspondence Fit (Truth of Reality) (Empirical Fit)	The Qur’ān explains and predicts human behavior, ethics, and societal outcomes better than competing epistemologies.	Demonstrates the divine explanatory power of revelation through its fit with lived experience.
Calibration Fit (Truth of Measurement) (Best explanatory fit)	Revelation acts as the external standard of proportion (<i>al-Mīzān</i>) while the human inner self (<i>nafs</i>) detects deviation; together they form a closed feedback loop that measures, corrects, and refines human judgment.	Revelation as a self-correcting calibration of human reason and morality through the harmony of the <i>mīzān</i> and inner self aligned to truth.

The Qur’ān says:

“Those who listen to the word and follow the best of it—those are the ones whom God has guided, and those are the people of intellect.” (Q 39:18)

Here, multiple claims are encouraged to be heard, but only those that best satisfy coherence, correspondence, and calibration are followed. Guidance is thus not blind

acceptance but disciplined selection under constraint—abduction governed by objective balance rather than preference, utility, or authority.

This section elaborates the logical mechanics underlying the Coherence-Correspondence-Calibration CCC Framework and explicitly demonstrates how **coherence** (internal reasoning), **correspondence** (empirical testing), and **calibration** (hypothesis fit) function as **deductive**, **inductive**, and **abductive** processes, respectively, to assess truth claims and best explanatory fit.

Table 6.1 summarizes how the Qur'ānic verification system we have developed operates across integrated levels of truth testing. Coherence aligns with deduction (logical fit), correspondence with induction (empirical fit), and calibration with abduction — the reasoning mode that identifies the best possible explanation among competing worldviews.

The CCC system offers a verification process to evaluate which worldview—Qur'ānic or anthropocentric—best explains the observable world.

We will now test this claim by examining whether the *ribā* prohibition in the Qur'ān coheres with lived economic reality better than its rival epistemologies.

The Qur'ān's Law Against Interest

Verses Q 2:278–279 articulate an **economic law of moral symmetry**: value may grow only through *productive exchange*, never through *unilateral advantage*. The Qur'ān's social prediction—that interest-driven systems necessarily produce systemic conflict and moral erosion—is reflected in observed historical and contemporary behavioral and macroeconomic patterns.

Its fairness lies in preserving both autonomy and justice: in a stable monetary system, the lender's capital remains intact; the borrower's dignity preserved. Hence, these verses demonstrate exceptional correspondence between divine principle and observable socio-economic reality.

Coherence Fit – Truth of Structure

The *ribā* verses (Q 2:275-279; 3:130; 4:160-162; 30:39) explained in detail in Chapter 3 prohibit and declare that neither side should inflict nor suffer injustice (*lā*

taẓlimūna wa-lā tuẓlamūn). The moral law is symmetrical: **no gain without risk, no loss without cause**.

This connects directly with the Qur’ānic balance (*mīzān*, Q 57:25): justice as dynamic equilibrium. It aligns with Q 2:188 (“*Do not consume one another’s wealth unjustly*”) and Q 26:183 (“*Do not deprive people of their due*”). Together, these form a consistent Qur’ānic economic ethic—transparency, risk-sharing, compassion, and fairness in exchange—fitting seamlessly within the Qur’ān’s *justice-through-balance* framework.

Correspondence Fit — Truth of Reality

Table 6.2: Correspondence test of fit with reality

Domain	Observed Reality	Qur’ānic Principle Confirmed
Behavioral Economics	High-interest lending exploits cognitive bias and desperation; compounding interest traps borrowers in perpetual debt.	“ <i>You shall not wrong nor be wronged.</i> ” Decoupling gain from productive effort creates systemic injustice.
Macroeconomics	Interest-based systems transfer wealth upward, entrenching inequality and instability.	The doubling and tripling of principal amount anticipates social harm arising from exploitative structures.
Psychology of Debt	Chronic indebtedness breeds anxiety, dependency, and moral erosion.	<i>Taqwā</i> (conscious restraint) is the refusal to participate in the ‘Satanic touch’ of the debt-loop, restoring autonomy and inner balance.
Ethical Finance	Risk-sharing models (equity, cooperative lending) enhance social trust and sustainability.	Aligns with Qur’ānic reciprocity: profit justified only through shared risk and contribution.

Modern empirical reality increasingly reflects this warning. Debt-based financial systems generate systemic inequality:

- Families carry long-term debt and interest burdens.

Qur'ānic Coherence with Lived Reality

- Many nations remain structurally impoverished by sovereign debt and predatory lending.
- Inflation and taxation rise to service compound interest while wealth concentrates upward.

As shown in Table 6.2, contemporary crises resonate with the Qur'ānic warning that *ribā* “obliterates blessing” (Q 2:276) and breeds instability, while charity and equitable exchange sustain resilience.

Calibration Fit — Truth of Measurement

Empirically, the Qur'ānic prohibition corresponds precisely to real-world dynamics: debt-dominated economies exhibit the very “war-like” stress the verse describes. *Ribā* functions as **positive feedback gone rogue**—a self-amplifying loop where interest on debt expands faster than real productivity, destabilizing the system.

The Qur'ānic alternative introduces **negative feedback regulation**: prohibiting unearned gain, encouraging good deeds and voluntary charity, and grounding prosperity in fairness and real value. The divine law thus restores equilibrium between production, justice, and compassion—an economy calibrated to moral reality.

The law does not demand altruistic loss; it mandates **symmetrical justice**:

“You shall have your principal; you shall not wrong nor be wronged.” (Q 2:279)

It balances mercy with accountability, defining a midpoint between **absolute asceticism** and **unregulated greed**. In systemic terms, *ribā* represents feedback without restraint—wealth amplifying itself until collapse. The Qur'ānic model re-introduces moral feedback, preserving stability within both the soul and society.

The prohibition of *ribā* thus demonstrates full **coherence** (moral structure), **correspondence** (empirical fit), and **calibration** (systemic equilibrium). It stands as an **economic expression of divine justice through *mīzān***—a framework where freedom, fairness, and faith converge in measurable harmony.

The next section shows how the system the Qur'ān proposes produces the best outcome for society in terms of egalitarian abundance.

Qur’ānic Model of *Ribā*-Free Abundance

Under interest-based systems, loans create new money which accrues interest—meaning that more money is required later to service existing debt. The money supply must therefore continually expand, which offsets productivity gains. The result is that prices stay high or keep rising gradually even as technology becomes cheaper to produce. Inflation isn’t natural. It’s engineered to service debt.

On the other hand, if there is no *ribā* and the money supply is fixed (or slowly stable), risk is shared, society innovates, and productivity rises (more goods per unit time).

Then mathematically: **more goods chasing the same money → prices fall**

This is benign deflation (productivity deflation), not crisis deflation. It simply means money buys more because society has got better at producing. That’s wealth.

Historically, 19th-century industrial productivity lowered prices under relatively stable gold-standard monetary conditions (e.g., Selgin, 1997). Today, technology lowers costs, but inflation masks it.

Table: 6.3: Abductive analysis between debt-based and *ribā*-less systems

Feature	Debt-Interest System	<i>Ribā</i> -less Model
Explains inflation	Requires continual monetary expansion	Naturally explained
Explains rising debt	Inherent	Not required
Explains deflationary busts and asset bubbles	Inherent	Productivity-driven price declines
Explains why prices don’t fall with tech	Debt expansion absorbs gains	Prices fall naturally
Needs artificial intervention	Constantly and globally	Targeted
Stable long-term	No	Yes

Benign (productivity) deflation may be deeply unintuitive to modern readers conditioned by inflation, but this is not a fringe economic idea. This phenomenon is well understood in economic circles — especially among Austrian economists—who

advocate sound money and accept benign deflation arising from productivity under stable conditions. They recognized that productivity should lower prices, inflation distorts markets, and credit expansion causes cycles (Mises, 1949; Hayek, 1935; Rothbard, 1962). Where Austrians diverge and stand in tension with the Qur'ānic framework is in treating “time preference” as axiomatic and justifying interest as “natural.” They never escape money-as-rent logic. Austrians see the symptom but keep the cause—treating “time rent” as a natural law rather than a structural injustice.

A *ribā*-based monetary system structurally prevents benign deflation from persisting. *Ribā*-less Qur'ānic architecture offers a sustainable path forward that allows productivity to benefit society directly — confirming its coherence with lived reality. If *ribā* were economically necessary, its removal would produce instability. Instead, the opposite is true. Applying the principle of abduction, the Qur'ān provides the best explanation of reality's fit and is consistent with *Occam's razor*—explanation requiring fewer assumptions—compared to other anthropocentric economic epistemologies, as summarized in table 6.3.

The key insight is this: in a *ribā*-less system with stable money, productivity gains should lower prices — increasing real wealth and creating abundance for everyone. The Qur'ān explains reality better than mainstream economics does — with fewer assumptions.

Conclusion

This book has taken a pedagogical approach to show how the debt-money system is asymmetrically unfair at the level of architecture. Interest is birthed at the very moment credit is created *ex nihilo* when the bank lends money to a borrower. No customer deposits or bank's own capital is loaned out. Islamic banking inherits the same model but wraps it in religious vocabulary. No contemporary bank that is part of the global financial network is immune from using this framework in expanding the money supply and its balance sheet.

The system is set up by design to extract wealth from society, which is made to participate without proper disclosure about how money lending actually works. That

even mainstream economists do not fully understand this process, and that schools do not teach this as part of their curricula, is a testament to how the financial alchemists are reluctant to make the process of credit creation transparent. The entire epistemology is wrapped in academic-sounding vocabulary and euphemisms that the common person cannot comprehend.

Loan agreements are essentially adhesion contracts with fine print that transfers all risk to the borrower. The bank collects either through a regular repayment schedule or through seizure in the event of default. Borrowers expend their commercial energy repaying a loan that materialized from their own signature — recorded as an asset on the bank's balance sheet — under the illusion that someone else's capital was loaned out.

Current economic explanatory systems only address symptoms, never the root cause treating “time preference” and “natural rate” as some kind of universal moral truths insisting that money should have its own productive value for waiting without providing any meaningful value or risk-sharing in return. Since GDP growth can never outpace the rate of compounding over longer-time horizons, systemic collapse — either through hyperinflation or deflation — are the only remaining systemic outcomes.

The Qur'ān's own *ribā* -free model is simple and intuitive. It outright rejects charging any rate of interest in favor of value exchange. The Qur'ānic CCC framework introduced in this chapter shows how we can corroborate the Qur'ān's own truth claims. *al-mīzān* defines the constraints of reality under which all humanity has to operate regardless of worldview. Intelligence is not calibrated to survival, dominance, or advantage, but to **moral accountability and human responsibility**. The Qur'ān repeatedly calls human beings to reflect, observe, and then **follow what is best** — not what is easiest, safest, or most profitable. This is abduction calibrated to truth, not utility. This is why *al-kitāb* (the Book) is described as *al-Furqān* — the criterion — as guidance to distinguish between truth and falsehood (Q 25:1; 2:53).

In the Qur'ānic teleological framework, with *insān* (human) under examination, self-preservation and moral truth are deliberately placed in tension. Choosing truth

may incur loss; choosing falsehood may confer power. That tension is not a flaw — it is the test. Intelligence is measured not by material success alone, but by the capacity to recognize and submit to what is true even when it constrains desire and positive utilitarian outcomes. Calibration is therefore inseparable from moral responsibility. In a debt-based system which provides opportunities for pragmatic outcomes to those who can use capital to grow more, the choice is no longer morally neutral but of principle. The Qur'an speaks with divine clarity, placing particular responsibility on those who possess wealth and authority. Across history, messengers were sent first to warn the affluent and powerful, for they held the greatest ability to uphold justice or entrench oppression.

Our age is no different. A debt-based monetary architecture that extracts value without producing it, concentrates wealth in the hands of a few, encourages society to live beyond their means, and imposes systemic *ribā* on society exemplifies the underlying pathology the Qur'an confronts. This chapter has shown how the interest-free Qur'ānic model provides better outcomes for society as a whole through benign price declines achieved through productivity gains concomitant with a sound monetary system — where money functions purely as a measure of value — while providing protection architecturally at the same time from both inflationary and deflationary shocks.

In the past, societies enacted debt jubilees that cancelled obligations and restored economic balance. Because the modern banking system reproduces the same underlying logic built on debt-money, moving away from interest requires institutional, legal, monetary, and global transformation.

Meaningful reform cannot be achieved through cosmetic policy changes or technical adjustments. It requires a return to divine principles of fairness, circulation, transparency, and real-value exchange. Those who govern must decide whether to perpetuate an extractive order and risk triggering God's Protocol (*Sunnat Allāh*)²³ or

²³ The recurring divine pattern of societal consequence following communication, rejection, and corruption of God's message (Q 33:62; 35:43; 40:85). See Sam Gerrans, *The God Protocol*, 2nd ed. (Quranite, 2022), ISBN 978-1-914385-05-6.

align economic life with the Qur'ānic imperatives of justice, balance, and giving full measure. For such reform to occur, the ruling elite must act with genuine *noblesse oblige*—not the aristocratic charity of old, but as a fiduciary duty to the Creator—a willingness to govern in accordance with divine principles of justice, charity, and real-value exchange. Only these higher ideals possess a true compounding effect, enabling humanity to live in harmony, abundance, and servitude to God.

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As for his geolocation, he aspires to live in the city of Truth, and the land where people follow what constrains them to it.